

Human Resource Management

Lecture PPT

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Human Resource Management

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Techniques of Evaluation	Weight
Test	20%
Quiz	5%
Individual assignment	10%
Group assignment	15%
Final Exam	50%
Total	100%

Reference

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CHAPTER ONE

OVERVIEW OF HRM

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Definitions

- A specialization area under management that deals with human element of the organization.
- Human resource management is the process of accomplishing organizational objectives by acquiring, retaining, terminating, developing and properly using the human resources in organization.
- HRM is the planning, organizing, directing and controlling of the procurement, development, compensation, integration, maintenance and separation of human resources to the end that individual, organizational and societal objectives are accomplished

Definition...

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- *The process of attracting, developing and maintaining a talented and energetic workforce to support organisational mission, objectives and strategies*
- *A distinctive approach to employment management which seeks to achieve competitive advantage through the strategic deployment of a highly committed and capable workforce, using an integrated array of cultural, structural and personnel techniques*

Definition...

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Since every work in organization is composed of people,

- ◆ Acquiring their service
- ◆ Developing their skills
- ◆ Motivating them to high levels of performance, and
- ◆ Ensuring that they continue to maintain their commitment to the organization is essential to achieving organizational objectives.

Features of Human Resource Management

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- HRM is concerned with managing people of an organization immaterial of their level or position.
- It is a bunch of activities which directs the employees to maximize their individual contribution towards achievement of the organizations goals.
- It encourages the employees to develop their capacities, skills, personalities, interests, etc. to the maximum extent.
- HRM is considered to be universal because recruitment, selection, training, development, compensation, etc., are inherent to all organizations.
- It is continuous in nature.
- ✦ It tries to get the willing cooperation of the employees to attain the goals of the organization.

Importance's of Human Resource Management

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- Helps to fulfill the basic needs of workers (both physical and psychological) perform their job effectively.
- It helps the management in attracting and retention of highly skilled and qualified employees.
- It tries to minimize absenteeism and encourages higher commitment.
- Encourages employees follow safety procedures and looks after their general wellbeing and also seeing to it that they get emergency medical facility when ever needed.
- Motivates and keeps employees tick at their job.
 - It helps the workers get an opportunity of learning and training to develop themselves.
 - Helps to match the right man to the right job.

Scope of HRM

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The scope of HRM refers to all the major activities and functions of HR department ranging from employment letter submission until he/she leaves the organization. This implies that human resource is broad in scope.

What are the key HR Functions ?

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- Job analysis
- Plan HR
- Recruit
- Select
- Orientate
- Train and develop
- Appraise Performance
- Compensate
- Safety and health
- Promotions, Transfers, Demotions, and Separation
- Manage Labor-relations

Objectives of HRM

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- *Goal achievement*: HRM makes effective utilization of human resource to achieve the organizational goals. Also it is responsible to the needs of society while minimizing the negative impact
- *Structure maintenance*: It helps to maintain an adequate organizational structure to improve the working relationships among employees and employers.
- *Goal harmony*: It creates a harmony between organizational goals and personal goals of employees.
- *Productivity improvement*: It continuously develops employees through training and other opportunities.
- *Efficiency promotions*: It ensures cost-effective utilization of human resources, which minimize wastage and promote efficiency.

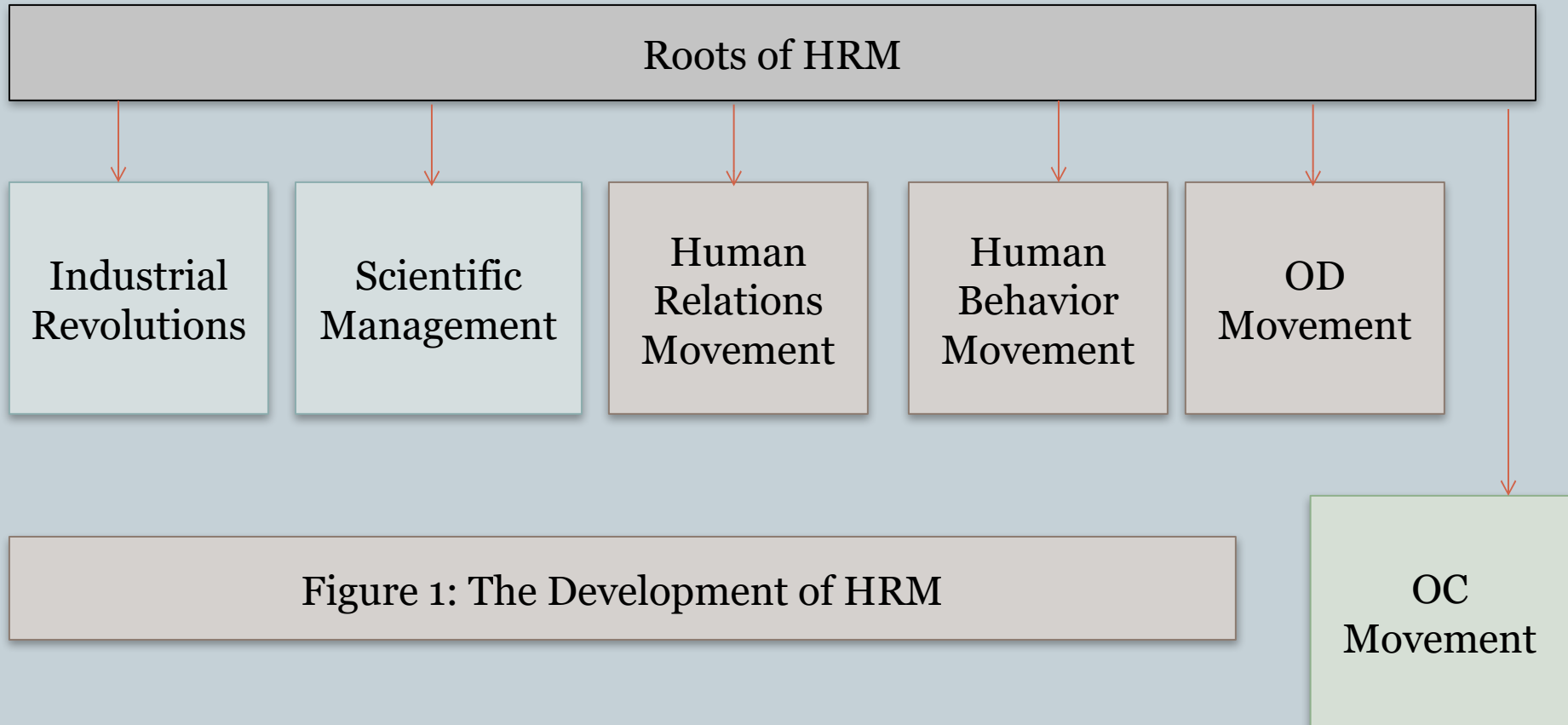
The Development of HRM

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The discussions of the development or the roots of HRM will be helpful to understand the concept of the subject. This development is an integral part of the history of management since the history of management is assumed to have a long history as long as the history of people starts to work in cooperative manner. The following figure (Agrawal, 2000) illustrates the various roots of HRM as a continuum.

The Development of HRM

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Industrial Revolution

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The development of human resource management can be traced back to the industrial revolution occurred in England at the end of 18th century.

- The industrial revolution substituted machine power for human work.
- Workers organized themselves into trade unions to achieve better conditions of employment.
- Robert own also known as the *father of modern personnel management*
 - reduced working hours
 - refused to hire workers less than 10 years old
 - provide meal and shower to workers
 - arranges marketing facility (sold items with the cost of production to the workers)
- ✓ Labor laws were enacted to protect the interest of workers. Collective bargaining between labor and management was used to settle industrial disputes.

Scientific Management Movement

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It is developed by F. W. Taylor who aimed at improving workers efficiency through proper selection, training and compensation of workers involved at the shop floor level.

Principles:

- There is one best method of doing each job,
- Specialization through the division of work to achieve efficiency
- Scientific selection and training of workers.
- Harmony relationship between management and workers
- The scientific management Movement mainly focuses on task, technology and methods, as being the key factors towards improving efficiency, but failed to consider employees' physiological, emotional, attitudinal, and other needs, which greatly affect their productivity.

Human Relations Movement

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It emphasized “human element” in personnel management.

- It is considered as a corner stone for the foundation of modern human resource management.

It advocated :

- The need for improved communications among managers and employees
- Emphasizes on participative management and team work
- Employee - centered personnel management
- Values the importance of non - financial rewards for employee motivation
- Hawthorne’s studies revealed that fellowship and self – respect influence workers behavior and informal groups influence productivity.

Human Behavior Movement

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It is an extension of the human relations movement which emphasized employee behavior in an organizations.

The major contributors are:

- ✓ Peter Drucker, pioneer of HRM, advocated “visionary goal directed leadership” as the basis of “Management By Objective(MBO)”
- ✓ Douglas McGregor advocated management by integration and self control
- ✓ Abraham Maslow Advocated that human are motivated by needs and he also stated that there is a hierarchy of needs.

Organizational Development (OD) Movement

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OD aims to improve the effectiveness with which an organization functions and responds to changes.

- It takes a system approach to manage planned change.
- OD aspects that are relevant to HRM practice are:
 - ✓ Managing planned change
 - ✓ Managing conflicts
 - ✓ Quality of work life programs
 - ✓ Team building to foster team spirit, cooperation and commitment
 - ✓ Collaborative management consisting of power sharing with employees (participatory decision making)
 - ✓ Training and development programs to improve knowledge, skills, and attitudes
- . OD creates an organizational environment, which is conducive to cooperation and teamwork. It brings about change in attitudes, values and behavioral patterns of individuals

Organizational Culture Movement

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OC/CC encompasses shared norms and values that guide employee behavior in organizations. It emphasizes mutuality of interest between management and employees.

Some important aspects of organization culture relevant to HRM roots are:

- Mutuality of interests b/n management and employees
- People focus in management decision making
- Cultural factors that affect organizational effectiveness
- Tolerance for risk and conflict
- Organizational citizenship behavior
- Group emphasis: organization of activities around the groups
- Performance based reward system
- The roots of HRM are likely to grow in future. Innovations and new thinking in management will also affect the practice of HRM.

The Component of HRM System

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A **system** can be viewed as an orderly grouping of separate but internal interrelated and interdependent parts for the purpose of achieving common goals and objectives. The smaller components of the total system can be considered as a **sub-system**. Based on the systems theory, *human resource management is considered as an open system* that is designed to *transform human resource inputs into outputs in the form of goods and services*. In this continuous process of transformation, the HRM system interacts with the organizations' internal and external environments. The system components of HRM presented by Agrawal (2000) are presented in figure 2 below.

The Component of HRM System

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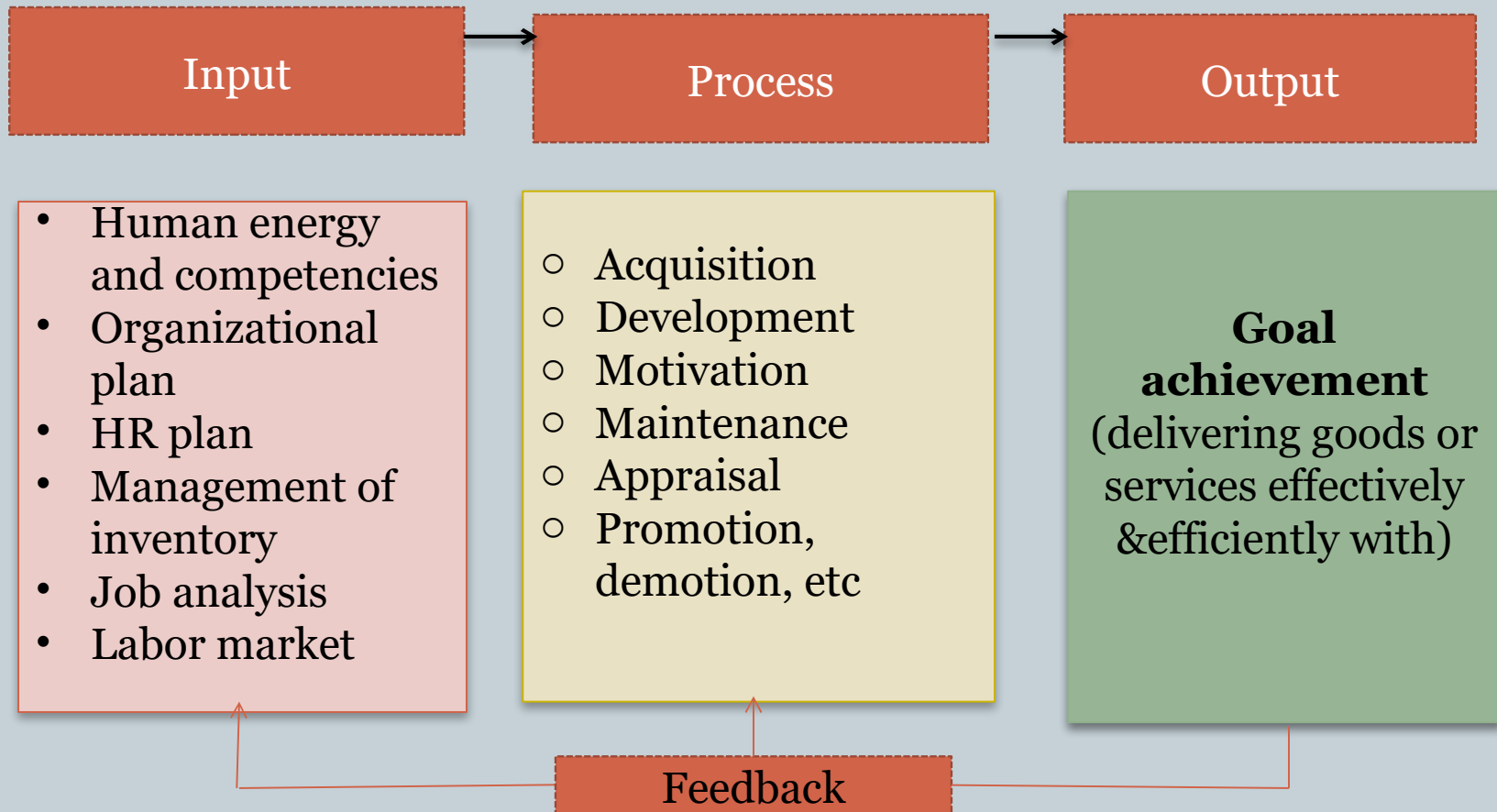
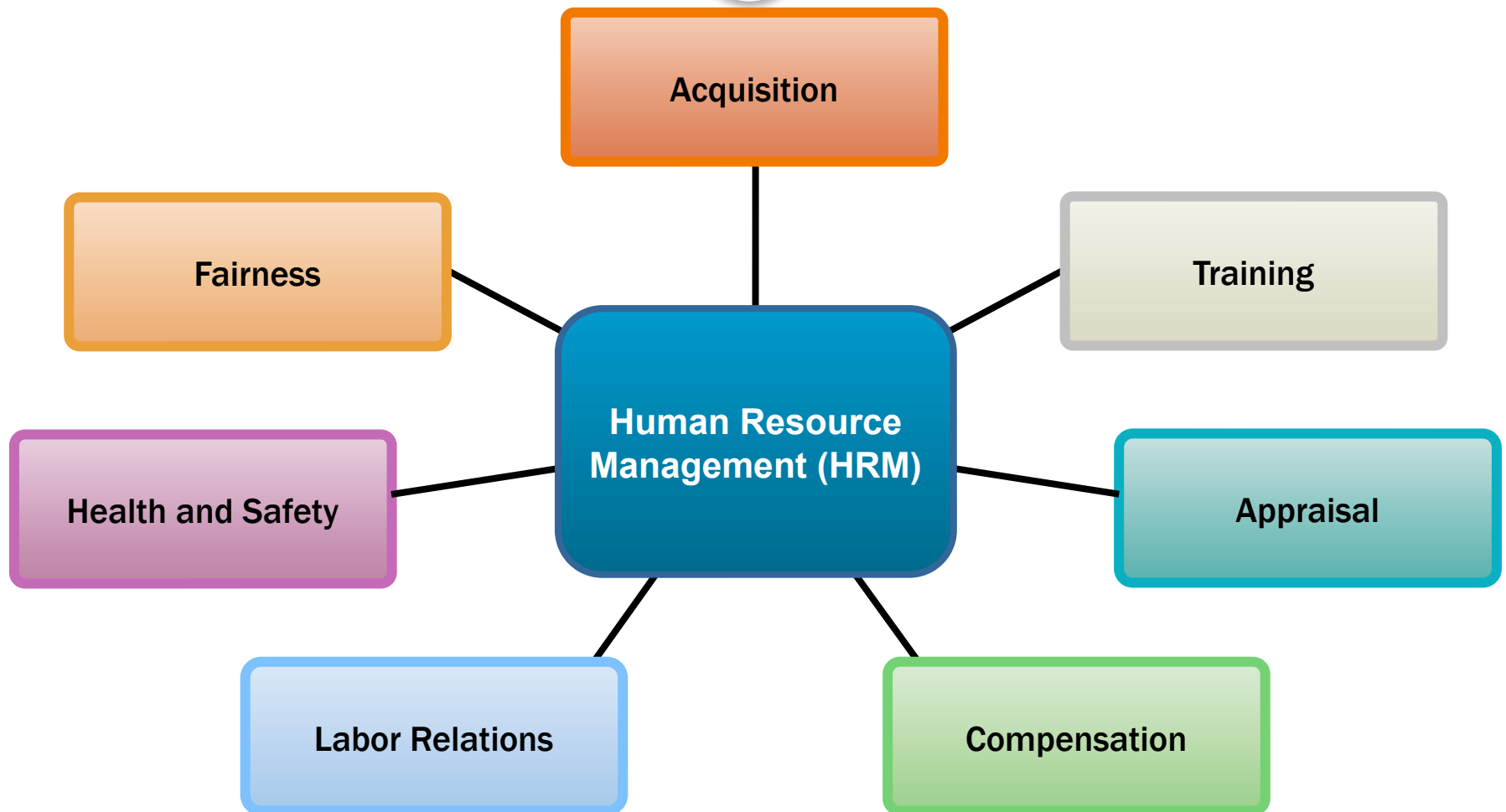


Figure 2: The Component of HRM System

Human Resource Management Processes

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Line and Staff Aspects of HRM

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- **Line Manager**
 - Is authorized (has line authority) to direct the work of subordinates and is responsible for accomplishing the organization's tasks.
- **Staff Manager**
 - Assists and advises line managers.
 - Has functional authority to coordinate personnel activities and enforce organization policies.

Line Managers' HRM Responsibilities

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1. Placing the right person on the right job
2. Starting new employees in the organization (orientation)
3. Training employees for jobs that are new to them
4. Improving the job performance of each person
5. Gaining creative cooperation and developing smooth working relationships
6. Interpreting the firm's policies and procedures
7. Controlling labor costs
8. Developing the abilities of each person
9. Creating and maintaining department morale
10. Protecting employees' health and physical condition

Human Resource Managers' Duties

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Among others the duties of HR manager includes:

- directs the activities of the people in the HR department (line function\ line authority);
- coordinates organizational-wide personnel activities(coordination function\functional authority) and;
- provides HRM assistance and advice to line managers(staff function\staff authority).

CHAPTER TWO

THE ENVIRONMENT OF HRM

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- Human resource management is a system, so it affects and is also affected by the environment in which it operates.
- The term environment refers to the sum total of all forces or elements (i.e. both internal and external) that affect the organization day-to-day life and its performance.
- The environmental factors are classified in to two major classes:
 - I. External factors
 - II. Internal factors

I. External environmental factors are those variable which are outside organizational boundary and still beyond the control of the management group.

Environment ...

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- They are the major forces outside the organization that have the potential of significantly affect the likely success of production of products and services (human resources in this scenario).
- The external factors are also subdivided in to two parts: as **mega (macro)** and **task (micro) environments**.
- The macro or mega environment constitutes the more remote factors of the external environment while the later comprises the external elements that closely affect the internal environment.

The Mega (Macro) Environment: is the general environment that can be substantially influence the operations of an organization.

Mega environment includes factors like:

Environment ...

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- **Political\legal environment** : government regulations related with labor or employment condition significantly influence HR practices:
 - ▢ Recruitment and selection : EEO and Affirmative Action
 - ▢ Promotion and transfer : EEO
 - ▢ Leave management: laws on sick leave, maternal leave, study leave and so on.
 - ▢ Compensation management : minimum wage
 - ▢ Occupational health and safety : OHS laws
- **Economic environment**: unemployment and inflation
 - ▢ Recruitment can affected by the rate of unemployment in the country and in return this can affect compensation decision. For instance with low unemployment rate companies might forced to set attractive remuneration or opted for overtime.
 - ▢ Compensation: definitely influenced by inflation
 - ▢ The kind of economic activity seen in the country as a whole has a very important influence on HRM. When the economy is a fast growing one, the labor cost tends to increase and decrease when the economy is sluggish one.

Environment ...

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- **Socio-cultural environment:** factors like religion and culture can exert significant influence on HRM practices, particularly in organization with diverse employees.
 - The socio-cultural forces are made up of the attitude, values, ethics and demographic patterns of the society in which the organization runs its business.
 - People who become members of an organization are the products of the society. As a result, their personality, and their attitude towards work and their work ethics affect organizational operations.
- ☐ ***A strong work ethics ensures motivated employees whereas the opposite results a weak work ethics.***

Environment ...

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- **Technological environment:** also exerts an influence on HRM Practices. For instance: the introduction of new technology interrupts the workforce unless they keep up with changing technology.
- Technological advances create new ways of performing jobs in an organization.
- Advances in technology replace face-to-face contact with automated, Internet and telephone service.
- ▢ Mode of recruitment: application via email or using solicited application system via job application data base
- ▢ Work modality: flexi time and office work at home
- ▢ Change has resulted either in total elimination or reduction of many jobs in an organization.
- ▢ Thus, new technologies force organizations to consider their mission and goals as well as their methods.

Environment ...

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- ***The Physical Environment:*** has also considerable influence on people management.
- Employee hiring, transfer, compensation and motivation are to be guided by the climate, terrain/topography and other natural conditions which affect ability to attract and retain employees.
 - Housing allowance
 - ▢ Desert allowance
 - ▢ Winter allowance
 - ▢ Etc.
- N.B. external environmental factors have a very strong importance to international firms that operate with subsidiaries across nations.

Task environment

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- It consists of the actual organizations, groups, and persons with whom an organization must interact and which have a direct and specific impact on the organization's performance.
- Common factors are:
 - **Suppliers** - Colleges, universities, training institutions, etc. Choosing the right supplier should be an important strategic decision of the management
 - **Competitors** - As the number of institutions looking for employees increases, so does the importance of attractive compensation, working conditions, motivation and other related HRM functions.

Task environment...

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- **Regulators** - Federal and Regional Civil Service Commissions have the power to enforce public servants laws. Ministry of Labor and Social Affairs, on the other hand, is set to ensure that production organizations operate with the enacted labor laws.
- **Consumers** - Consumers demand high-quality products or service at a reasonable price. This largely depends on the skills, knowledge and commitment of the organization's human resources.

The Internal Environment

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- ❖ **Labor Unions** - take the advantage of collective bargaining to have an upper hand in the many interactions with the employers
- ❖ **Management philosophy** - the top managers regarding human resources dictated to a large extent the way personnel policies and procedures are evolved in that organization.
- ❖ **Employee ability and productivity** - If the employees are highly qualified and self-motivated to work, the personnel policies would be much more employee friendly and the vice is also true.

The Internal Environment...

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- ❖ **Organizational climate:** refers to an employee's long-lasting perception of the working environment and culture of the business they work for.
- The kind of inter-personnel climate inside the organization plays an important part in its HRM related policies. If the climate is friendly, pleasant, cooperative and based on mutual respect then the human resource policies would be entirely different than that of an organization whose inter-personnel climate is vicious, competitive and conflict based.

Models of Human Resource Management

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- Human Resource Management models contain all human Resource activities carried out effectively with a competent and willing workforce to obtain organizational goals.
- They are a framework for understanding the role of human resources within an organization.
- This includes both how the work of human resources can impact the organization and how the organization can influence HR.

HRM models

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- There are different types of models. The most common types are:
 - Standard Causal Model (shows the alignment of HR strategy with the overall strategy of the organization)
 - The 8-Box Model
 - Five Ps Model (purpose, principles, processes, people and performance)
 - The Harvard Framework
 - HR Value Chain models
 - The Ulrich Model

Reading assignment: read and get understanding about the above types of models! (AIHR) Academy to innovate HR

CHAPTER THREE

HUMAN RESOURCE PLANNING and JOB ANALYSIS

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4.1 HR Planning

- ***“Plan Ahead: it wasn’t raining when Noah built the ark. - Richard Cushing***
- HRP is the systematic method of determining future man power **requirement** and **availability**.
- HRP is **forecast** of an organization’s future **demand** for and **supply** of employees
- HRP is a process of identifying the short- run and long- run employee needs of the firm
- It is the process of **acquiring** the **right number** and the **right kind** of people at the **right place**, and at the **right time**, to **achieve organizational goals**.

Importance of Human Resource Planning

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- Effective human resource planning **assures equilibrium** (i.e. no surplus and deficit) employees are available in the organization
- It help the management in **recruiting and selecting the best personnel** to carry out the activities effectively and efficiently
- It **helps to know** whether or not the **needed human resource is available** when should the recruitment and selection should be carried out
- In order to meet the requirements of expansions and diversification programs
- The present situation of fast paced change in technology, and changing needs of the workforce has also necessitated creation of an effective HR plan to cope with future uncertainties.

Purposes of HRP

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There are four main general objectives in developing an HRP:

- ❑ **Continuity flow:** To get the right people in the right place at the right time with the necessary skills. This involves policies in respect of recruitment, succession planning and training.
- ❑ **Maintenance:** To retain the stability in the workforce through pay and benefits, and individual career planning.
- ❑ **Response to change:** To put into effect changes that come about from major operational strategies. These can include re-location, re-training or re-deployment.
- ❑ **Control:** To ensure that staff move in the right direction through the establishment of standards, performance control systems and building long-term employee relationships.

The Process of Human Resource Planning

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- **Analyzing Organizational factors** (goals, sales and production forecasts, human resource demands change)
- **Analyzing external Factors** (Conducting external environmental scanning: inflation, unemployment, and changing workforce patterns
 - Social, political, and legal challenges, technology changes, and competitors

The Process of Human Resource Planning...

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- Forecasting human resource requirement
- Analyzing current human resource situation (plan retirements, resignations, terminations, deaths, leaves of absence, net human resource availability)
- Reconciling ***requirements and availability***
- If shortage occurs developing action plan (when the internal supply cannot fulfill the organization's needs. In the short run, planners must rely on the external staffing process to find new employees.

The Process of Human Resource Planning...

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- When the internal supply of workers exceeds the firm demand the hiring freeze, stop the HR department from filling openings with external supplies. Instead, present employees are reassigned.
- Voluntary departures - called attrition(resignation) - slowly reduce the surplus
- Declare early retirements
- Layoffs are temporary loss of employment to workers and are used in cases of short - range surplus.

Job Analysis

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- ❖ **Job** is a collection or aggregation of tasks, duties and responsibilities which as a whole is regarded as a regular assignment to individual employees.
- ❖ Hence, analyzing what makes up a job has a tremendous importance for any managerial decision making.

Job analysis is defined as a systematic process of collecting and making certain judgments about all of the relevant information relating to the nature of specific job.

Job Analysis

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Job analysis: is the systematic process of collection, analysis and compilations of information on the jobs, positions, skills and knowledge required for performing the jobs in an organization. It provides data regarding the existing or the proposed jobs with in an organization.

Occasions Demanding JA

- When a new organization is established
- When job is changed significantly as a result of new technology

Importance of Job Analysis

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- It is a base for HR planning
- To gain a clear understanding of what makes up a job
- To know what a worker is responsible for doing
- It is a base for performance standard
- It is a base for improvement in work methods
- It is a base for compensation plan
- It is a base for HR training need assessment
- It is a base for managing work safety, ... etc.

Types of Job Analysis Information

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- **Work activities:** specific tasks to be performed, procedures to be followed to perform the task, complexity of the activities, hazards and discomforts of the job, etc.
- **Machines and materials used:** the type of equipment's, tools, and other resources required, etc.
- **Job performance standards:** quantity standard for the job, quality standard, time taken for the job, etc.
- **Job context:** physical working conditions, work schedule, incentives given, job relation ships, etc.
- **Personal attributes:** education and training required, experience needed, special skill required, physical strength, etc.

Purposes of Job Analysis

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- ✦ Improve productivity level through careful study of the jobs
- ✦ Eliminate unneeded job requirements that might cause discrimination in employment
- ✦ Helps to plan for future human resource development
- ✦ Determine training and development needs for employees
- ✦ Compensate employees fairly and equitably
- ✦ Improve overall quality of work life
- ✦ Helps to set a realistic performance standards
- ✦ Helps to redesign jobs in order to improve employees moral and performance

Method of Job Analysis

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- **Questionnaires:** set of questions developed to collect information uniformly. It is quick and economical method.
- **Interview:** face to face interaction. It provides opportunity for the interviewer to explain unclear questions and probe in to uncertain, answers.
- **Observation:** is method of gathering relevant information by moving around the job positions. It is slow method to gather information.
- **Employee log:** is a method of gathering job data by having the employees record their work activities in a diary or log.

Who Conducts Job Analysis?

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Job analysis is not a one person affair. It requires the participation of employees and their immediate supervisors.

In a nut shell, job analysis can be performed by:

- ❑ HR-experts – Internal ; and
- ❑ Outside consultant.

Discussion: List the advantage and disadvantages of both internal & external JA.

Steps in job analysis

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- Step 1: Identify information to be collected
Task : part of the job with specific purpose.
Duty : Number of tasks
Job: bundle of duties
Job Position: one or more duties performed by one person.
Occupation: Group of similar jobs
- Step 2: Identify source of obtaining information
- Step 3: Choose appropriate method of collecting information
- Step 4: collect the information
- Step 5: Analyze the information
- Step 6: Disseminate the result – JD, JS, etc.

Outputs of Job Analysis

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- **Job Description:** It is a statement that describes all the features of the job; (what is being done, how it is done, why it is done, etc.
 - Major duties performed
 - Percentage of time devoted to each duty
 - Performance standards to be achieved
 - Working conditions and possible hazards
 - The machines and equipment's used

Job Analysis Output...

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- **Job Specification:** It is a statement that describes all the qualification requirement by the workers who are going to assume positions in the organization (it describes job demand on the employees who do it and the human skill that are required). It includes a profile of human characteristics such as ***experience, training, education, ability to meet physical and mental demand.***

Contents of Job Analysis

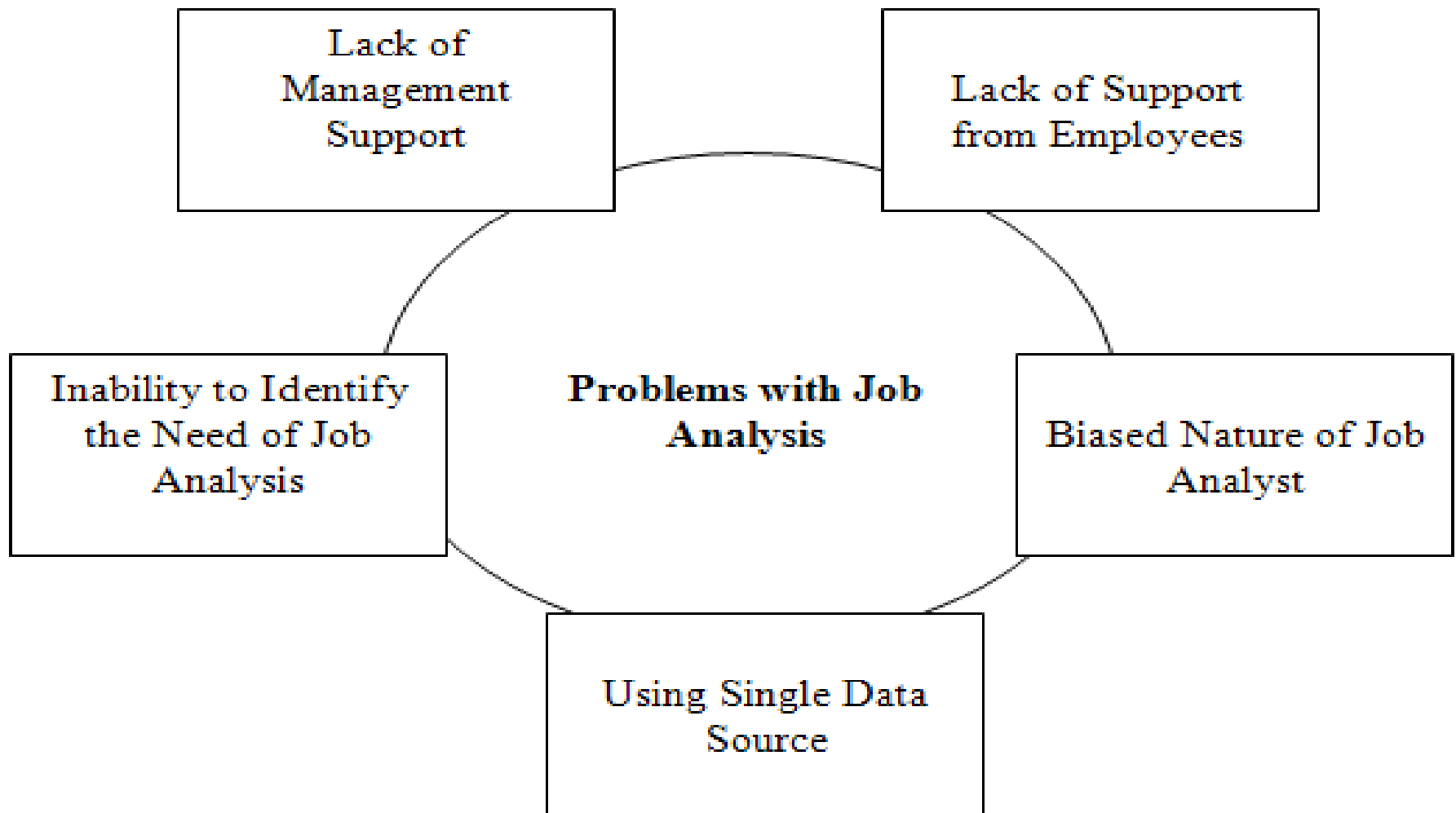
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A job analysis results the following vital information about the job

- Job identification: Title of the job, its code, etc
- Important characteristic of the job: Location, physical settings, supervision details, hazards, etc of the job.
- What a typical worker does: Information about the specific operations and tasks of the job, their timings, their importance, whether they are routine or complex, etc.
- How a job is performed: The nature of the operations like lifting, handling, cleaning, drilling, etc., are described.
- Required qualities of the personnel are mentioned: Experience, qualification, training, physical and mental abilities, etc.
- Job relationship: Opportunities for growth, patterns of promotions, the kind of leadership expected from the employee, etc., are mentioned here.

Potential problems with job analysis

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Job Performance Standard

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- This is a statement that makes explicit the quantity and quality of performance expected in basic tasks indicated in the job description.
- It is a statement of attainable and acceptable levels of achievement on a particular task .
- Standards are objectives or targets for employee effort.
- Standards are criteria against which job success is measured.

CHAPTER FOUR

RECRUITMENT AND SELECTION

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5.1 Recruitment

- It is the process of attracting individuals on a timely bases, in sufficient number and with appropriate qualification and encouraging them to apply for jobs with an organization.
- It is the process of distinguishing and appealing capable applicants for employment.
- It is the process of searching prospective employees and stimulating them to apply for organization.

Features of Recruitment

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FEATURES OF RECRUITMENT

- It is a process rather than a single act or event.
- Linking activity as it brings together the employer and the prospective employees.
- Positive activity to seek out eligible persons from which suitable ones are selected.
- To locate the sources of people required to meet job requirements.
- Ability to match jobs to suitable candidates.
- A two way process between recruiter and recruited.
- A complex job that involves lots of factors like image of the company, nature of jobs offered, organizational policies, working conditions etc.



Purpose of Recruitment

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- It assists a company in evaluating its present and future staffing requirements.
- It provides businesses with all necessary human resources regularly for various job positions.
- Increases Success Rate of Hiring: It is effective in stimulating the success percentage of the company's selecting process.
- Expands Talent Pool: it create a wide pool of qualified candidates from which one has to choose the most qualified individual for the job.
- Cost-Effective: It focuses on minimizing total costs and time spent on finding suitable employees.
- Improves the Reliability of the Organization: A business organization's reputation is strengthened by a strong recruitment process.

Objective of Recruitment

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- The objective of recruitment is to find suitable candidates to meet organizational needs, in as cost effective way as possible.
- To attract best and qualified personnel, the vacancy to be announced to the candidates should incorporate as least the two statements.
 - The job description statements and
 - The job specification statement

Objective of Recruitment

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- **Building a Talent Pool:** to identify and attract skilled individuals with the necessary expertise to enhance the organization's objectives.
- **Promoting Workforce Diversity:** serves as a key driver in advancing diversity initiatives by actively pursuing candidates from varied backgrounds, cultures, genders, and experiences.
- **Reducing Employee Turnover:** Effective recruitment strategies contribute to lowering employee turnover rates.
- **Boosting Organizational Performance:** Efficient recruitment practices are closely tied to enhanced organizational performance.
- **Enhancing Employer Brand:** A robust employer brand plays a key role in attracting top talent.

Principles of Recruitment

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PRINCIPLES OF RECRUITMENT

- Recruitment should be done from a central place
- Termination and creation of any post should be done by responsible officers
- Only the vacant positions should be filled and neither less nor more should be employed.
- Job description/work analysis should be made before recruitment.
- Procedure for recruitment should be developed by an experienced person.
- Recruitment of workers should be done from internal and external sources.
- Recruitment should be done on the basis of definite qualifications and set standards.
- A recruitment policy should be followed.
- Chances of promotion should be clearly stated.
- Policy should be clear and changeable according to the need.



Recruitment Process

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Factors Affecting Recruitment

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- Size of the organization
- Employee turnover
- Organizational growth
- Nature of the job
- Organizational policies: provides a framework for recruitment
- Cost of recruitment

Source of Recruitment

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- ***Internal source of recruitment:*** the internal supply consists of present employees who can be promoted, transferred or demoted to fill expected openings.
- **Estimates of Internal Supply**
 - ***Human Resource Audit:*** identifies employee's job title, experiences, age, abilities, employee's future potential
 - ***Succession planning:*** the process used to convert information about current employees into decision about future internal job placement.

Source of Recruitment

77

Replacement charts and summaries: is visual representation of who will replace whom if there is a job opening.

- is constructed by getting information from HR audit
- is looked like organization chart
- depicts **replacement status**: present performance and future promotion
- Information in replacement chart should be kept confidential to protect the privacy of employees and to avoid the dissatisfaction among employees who are not immediately promotable

Advantages of Internal Sources of Recruitment

78

- Enhances employee moral, because they are sure of getting promotions
- Existing employees can be better evaluated than newcomers
- Enhances employee loyalty towards the organization because their job security is assured and there is opportunity for advancement
- Minimum time and cost needs to be spent on training
- Employees selected from the internal sources are generally more reliable because they have more loyalty to the organization than a new comer

Disadvantages of Internal Sources of Recruitment

79

- It may hinder and discourages people with fresh ideas, creativity, and more qualification entering to the organization
- Existing employees of the organization may become archaic/old and ultimately this source may dry up
- Promotion based on seniority, ignoring merit, lead to bad feeling especially to youths and less experienced workers but enriched with knowledge

External source of Recruitment

80

The potential candidates will totally come from the external environment (i.e. outside the organizations). These sources mainly consists of new entrants or fresh bloods, the educated, but unemployed section of the society, employees of other organizations, retired persons, etc.

Advantages of External Sources of Recruitment

81

- The organization can get the best professionals available in the market with the required experience, skill, education etc
- Recruitment can be done which might include all sections of the society
- Fresh bloods who are creative and specialists can be attracted and pumped in to the organization

Disadvantages of External Sources of Recruitment

82

- Adequate time and money needs to be spent on training and induction
- The whole process of external recruitment is more expensive than the internal recruitment process

Recruitment Methods

83

Internal Recruitment Methods

- **Job posting:** the organization publishes job opening on bulletin boards, electronic media etc.
- **Employee referral:** current employees are encouraged to refer potential candidates for open positions
- **Skill inventory:** developing database and inventories to facilitate internal search for employees.
- **Transfer and promotion:** this is a method of filling vacancies through transfer or promotion.

Recruitment Methods

84

- **Direct recruitment method:** the recruiters are sent directly to the colleges, universities, educational institutions, and contract the production/graduating students and select the best among them. The recruiters may hold conference and seminars for the prospective employees and encourage them to apply for vacancies
- **Indirect recruitment method:** In this method the organization encourage prospective employees to apply for vacancies through advertisements in newspapers, magazines, journal etc.
- **Third party method:** There are many private employment agencies which carry out the recruitment process of an organization for a fee.

Alternatives to Recruitment

85

- **Overtime:** allowing employees to work beyond a standard hour, day or week with extra pay
- **Temporary employees:** hired to work for a company temporarily, typically for a specific time or project.
- **Subcontracting:** the practice of bringing in an outside company or individual to perform specific parts of a contract or project
- **Employee leasing:** an arrangement between a business and a staffing firm, who supplies workers on a project-specific or temporary basis.

5.2 Selection

86

- It is the process of choosing the best among pools of candidates
- The process of *choosing* from a group of applicants those individuals best suited for a particular position of an organization.

Poor selection results in:

- Increased employee turnover, absenteeism, accidents, job dissatisfaction, high cost of training, productivity losses, and poor employee relation

The right person section results:

- The *right* person is more productive and learns faster.
- The *right* person requires less supervision and training.
- The *right* employee is more likely to stay on the job.
- The wrong individual can be costly in time, money and morale

Selection Criteria

88

- Key selection criteria are the skills, attributes, knowledge, qualifications, competence and experience that the employer has defined as being essential for satisfying the requirements of the job and can be found in every position description.
- When applying for a job you are required to **write a short statement against each criterion**, which outlines how your current skills, attributes, knowledge or qualifications satisfy this criterion.
- Applicants are benefited by the selection criteria, as it gives you a better understanding of what the job requires and you will be able to **assess your own capabilities against the requirements of the job**.
- **Describing how you meet the selection criteria** will make sure that all the information about your fittingness for the position is acknowledged. Therefore, increasing your chances in the selection process.

The Selection Process

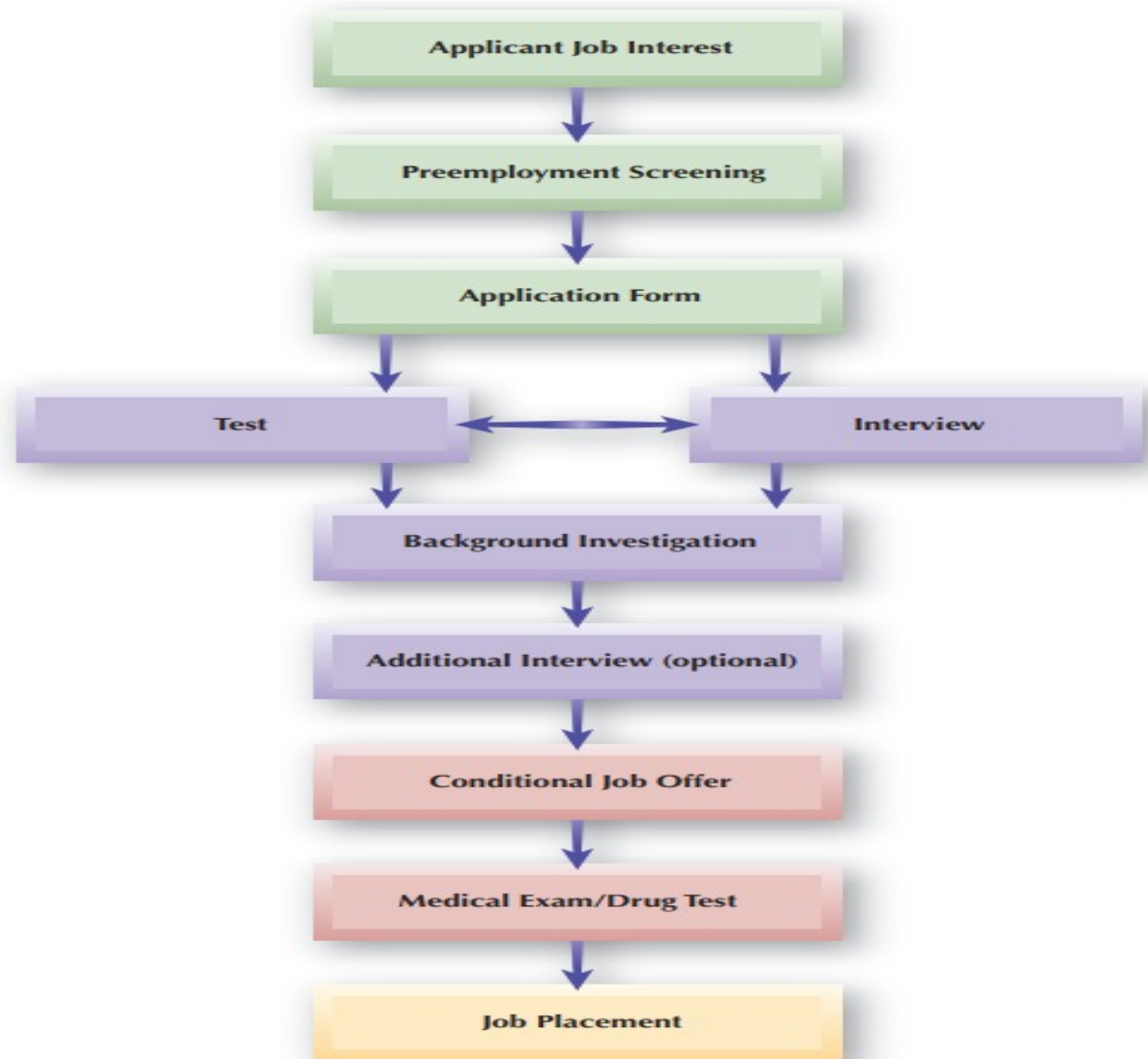
89

- The *selection process* refers to the **steps involved** in **choosing** people who have the **right qualifications** to fill a current or future job opening.
- Preliminary reception of application
- Preliminary interview
- Selection test
- Selection interview

The selection Process

FIGURE 7-4

Selection Process Flowchart



1. Applicant Job Interest

91

- Individuals wanting employment can indicate interest in a number of ways. They submit résumés by mail or fax, apply in person at an employer's location or complete applications online or submit résumés electronically.
- **Realistic job preview** is a process through which a job applicant receives an accurate picture of a job.
- Sometimes some employers make jobs appear better than they really are. Realistic job previews provide potential employees with an accurate introduction to a job so that they can better evaluate the employment situation

2. Pre-employment Screening

92

- Many employers conduct pre-employment screening to determine if applicants meet the minimum qualifications for open jobs before they have the applicants fill out an application by using different screening techniques.
- Electronic Assessment Screening is one of the technique which uses computers in order to screen out when the number of applicants are large in number.
- A good strategy is to use simple electronic assessment early to cut down the number of applicants before requiring applications or interviews. That leaves a much more qualified list of remaining applicants with which to work.

3. Application Forms

93

- Properly prepared, the application form serves four purposes
 1. It is a record of the applicant's desire to obtain a position.
 2. It provides the interviewer with a profile of the applicant that can be used during the interview.
 3. It is a basic employee record for applicants who are hired.
 4. It can be used for research on the effectiveness of the selection process.

Application forms should contain disclaimers and Notices such as: *Employment-at-will, Reference contacts, Employment testing, Application time limit and Information falsification*

4. SELECTION TESTING

94

- Many different kinds of tests can be used to help select qualified employees.
- Literacy tests, skill-based tests, personality tests, and honesty tests are used to assess various individual factors that are important for the work to be performed.
- However, selection tests must be evaluated extensively before being utilized as a recruiting tool.
- The development of the test items should be linked to a thorough job analysis.
- Also, initial testing of the items should include an evaluation by knowledge experts, and statistical and validity assessments of the items should be conducted.

Testing

95

- ***Cognitive ability tests:*** tests that measure an individual's thinking, memory, reasoning, verbal, and mathematical abilities.
- ***Physical ability tests:*** tests that measure an individual's abilities such as strength, endurance, and muscular movement.
- ***Psychomotor tests:*** tests that measure dexterity/skill, hand–eye coordination, arm–hand steadiness, and other factors
- ***Work sample tests:*** Tests that require an applicant to perform a simulated task that is a specified part of the target job.
- ***Situational judgment tests:*** tests that measure a person's judgment in work settings.
- ***Personality Tests:*** use various personality tests that assess the degree to which candidates' attributes match specific job criteria. (“Big Five” personality framework).
- ***Honesty/Integrity Tests:*** use these tests as a screening mechanism to prevent the hiring of unethical employees, to reduce the frequency of lying and theft on the job, and to communicate to applicants and employees alike that dishonesty will not be tolerated.

5. SELECTION INTERVIEWING

96

- Selection interviewing of job applicants is done both to obtain additional information and to clarify information gathered throughout the selection process.
- Interviews are commonly conducted at two levels:
 - first, as an initial **screening interview** to determine if the person has met **minimum qualifications**, and then
 - later, as an in-depth interview with HR staff members and/or operating managers to determine if the person will fit into the designated work area.

Before the in-depth interview, information from all available sources is pooled so that the interviewers can reconcile conflicting information that may have emerged from tests, application forms, and references.

Interview

97

- **Structured interview:** Interview that uses a set of standardized questions asked of all applicants so that comparisons can be made more easily
- Structured interview has the following forms:
 - I. Behavioral interview:** interview in which applicants give specific examples of how they have performed a certain task or handled a problem in the past.
 - II. Situational interview:** Structured interview that contains questions about how applicants might handle specific job situations.
 - III. Nondirective interview:** interview that uses questions developed from the answers to previous questions.
 - IV. Stress interview:** interview designed to create anxiety and put pressure on applicants to see how they respond
 - V. Competency Interview:** is similar to the behavioral interview except the questions are designed to provide the interviewer with something against which to measure the applicant's response.

Validity and Structure in Selection Interviews

98

Type of Interview

- ♦ Biographical
- ♦ Behavioral
- ♦ Competency
- ♦ Situational
- ♦ Stress
- ♦ Nondirective

Degree of Structure

More



Less

Validity for General Selection Decisions

More



Less

6. Background Investigations

99

- Failure to check the backgrounds of people who are hired can lead to embarrassment and legal liability. Hiring workers who commit violent acts on the job is one example.
- While laws vary from state to state, for jobs in certain industries, such as those that **provide services to children, vulnerable adults, security, in-home services, and financial services**, background checks are mandated in some states.
- ***Negligent hiring*** occurs when an employer fails to check an employee's background and the employee later injures someone on the job.
- ***Negligent retention*** Occurs when an employer becomes aware that an employee may be unfit for work but continues to employ the person, and the person injures someone

7. Medical Examinations

100

- Medical information on applicants may be used to determine their physical and mental capabilities for performing jobs.
- Physical standards for jobs should be realistic, justifiable, and linked to job requirements.
- Even though workers with disabilities can competently perform many jobs, they sometimes may be rejected because of their physical or mental limitations.
- Drug testing may be conducted as part of a medical exam, or it may be done separately.

8. References Check

101

- References provided by the candidate are of very limited predictive value.
- Work-related references from previous employers and supervisors provide a valuable snapshot of a candidate's background and characteristics.

9. Making the Job Offer

The final step of the selection process is offering someone employment. Many companies formalize the offer in a letter that is sent to the applicant.

Factors Affecting Selection

102

- ***Legal consideration:*** Human Resource Management is influenced by court decisions, executive orders and legislation. The management of the organization should use legally defensive selection tools in the selection process.
- ***Speed of decision making:*** selection process is directly influenced by the available time to make the decision of selection. In certain situations, there is much pressure on the organization, actually that leads the management to follow the exceptional selection process.
- ***Organizational hierarchy:*** selection process varies according to the filling posts of different levels of hierarchy in the organizational structure.
- ***Application pool:*** The recruitment and selection process is also influenced by the number of applicants for a particular job. In the case of many qualified applicants for a particular post, the selection process becomes selective.

Factors Affecting Selection

103

- ***Types of organization:*** The type of organization like government organization, private or non-profit organization, etc. also affects the selection process for the hiring individuals.
- ***Probationary period:*** Certain organization adopts the procedure of the probation period in the selection process to check the potential of the individual on the basis of his performance.

Induction, Orientation, and Socialization

104

- **Induction** is often considered as an early part of the training process. Once an applicant accepts a position, then they can be passed on to the training department who take over from that point.
- For most positions, an induction of 1–2 days is allowed to provide the basic information to the new recruit and to introduce them to the important aspects of work in the organization.

Induction, Orientation, and Socialization...

105

- **Orientation:** is mainly given by the immediate supervisor of the employee and it is more of task oriented.
- **Socialization:** is all about the amalgamation of the newcomer with the organization employees.

Purpose of orientation

106

- Orientation is important because it lays a foundation for the new employee's entire career with the department.
- Without orientation, a new employee sometimes feels uncomfortable in his/her new position and takes longer to reach his/her full potential.
- Orientation is important because it:
 - Provides the new employee with concise and accurate information to make him/her more comfortable in the job;
 - Encourages employee confidence and helps the new employee adapt faster to the job;
 - Contributes to a more effective, productive workforce;
 - Improves employee retention; and
 - Promotes communication between the supervisor and the new employee.

Levels of orientation

107

1. ***The Pre-Orientation Stage:*** begins before the start date of your new employees and involves sending documents such as an organizational chart, vision statement, mission statement, explanation of benefits, annual report and a checklist of what the actual orientation will cover.
2. ***The Introduction to the Job-Site Stage:*** information about your company's aims, objectives, culture, organizational structure, strategic plan, customer base and future goals. And also include a tour of the workplace, including seeing equipment, identifying potential safety hazards, and meeting some of the managers and supervisors in each department.
3. ***The Job-Specific Orientation Stage:*** In this stage, new hires are given job- or task-specific orientation, typically by their immediate supervisor.
4. ***The Follow-Up Orientation Stage:*** Usually occurs on a weekly basis and it allows you to determine how well your new employee is adjusting to the job.

Brainstorming

- Why do well prepared organizational plans fail during their implementation?
- Why do our organization failed to achieve the desired level of profit? Or face bankruptcy ?
- Why do organizational resources wastage Occur?
- Why do machines frequently fail?
- Why do frequent damage happen on equipments?
- Why do our customers frequently complain?
- Why do our employees frequently file grievance?

Training and Development

109

- T & D is one of the most important functions of Human resource management which ensures the availability of sufficient people with capabilities required for achieving organization's mission and goals.
- Training is process whereby people acquire capabilities to perform jobs.
- Training is largely required to upgrade the ability of operating staff to do their jobs for achieving results.
- Training mainly focuses on workers at operating level

Training and Development

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- Training is a process of learning a sequence of programmed behavior, which helps the trainees in improving their job performance and better apply their knowledge.
- Whereas development covers not only performance improvement activities but also those which enhance personality, gain better attitudes, values and behavior.
- The scope of development is wider than training.

Distinction between training and development

111

Learning Dimension	Training	Development
Who is the target?	It is given to technical/ non-managerial people	It is given for managers
What knowledge to transfer?	People require technical & operational knowledge and skill	Executives require conceptual and theoretical knowledge
Why?	• For job improvement. • It is job centered - for specific job.	• For general development • It is career oriented or growth oriented - for all activity of job
When or time duration?	It is short-term process.	It is long-term process

Objectives of Training

112

- To make the workers perfect in their work, so as to increase their productivity
- Proper training would help the worker in producing quality products.
- Help the management to develop qualified personnel for future expansions/diversifications.
- Proper training will help the worker in adopting safe work procedures and will prepare them in avoiding the pollution generated from the production process thus, protecting the workers health.
- Training will help workers to make energetic by giving them a chance to update their skills, knowledge, technology and procedures of work.
- Training will help the workers in their personal growth, within and outside the organization. Trained workers will be given priority in promotions and transfers.

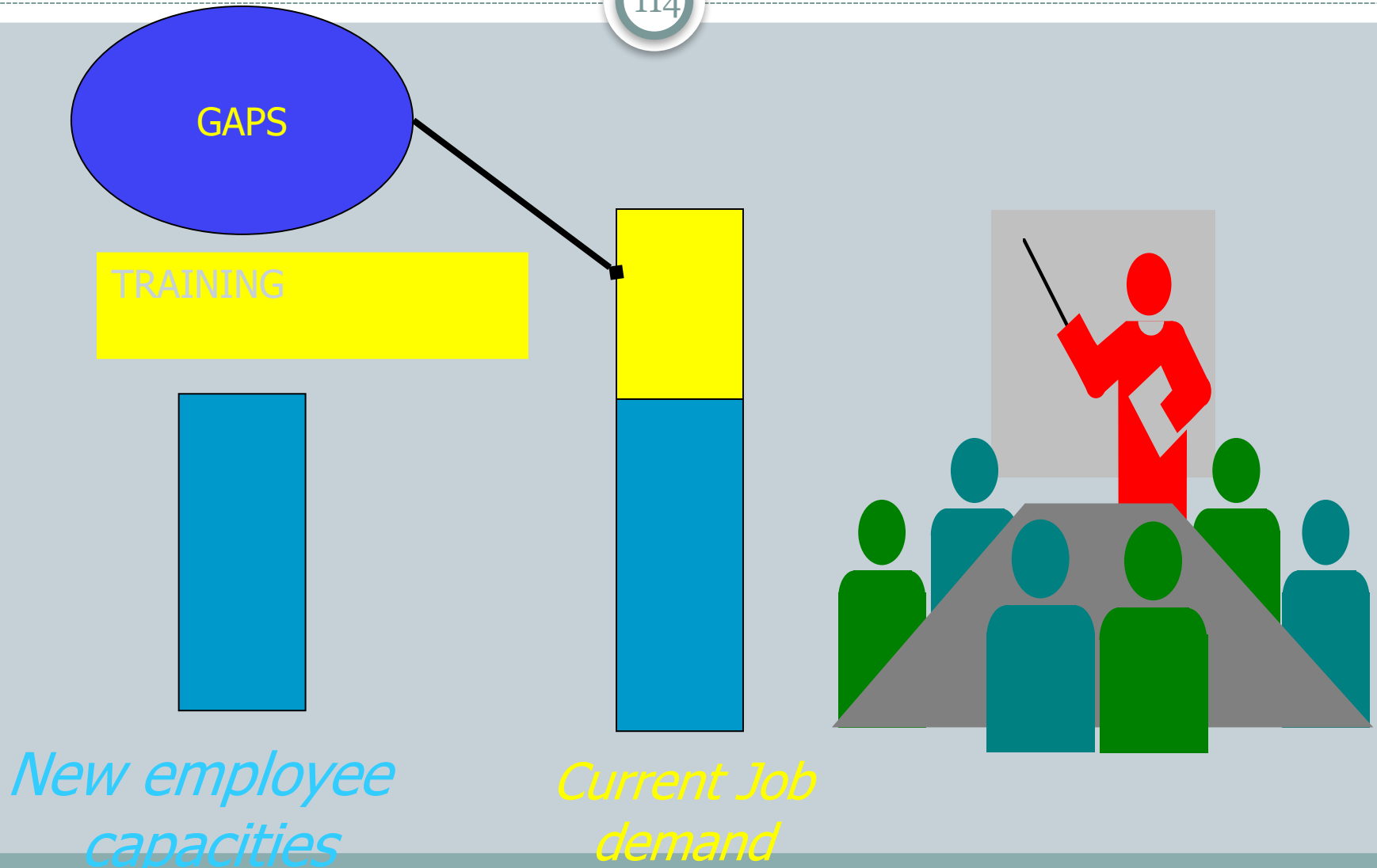
Importance of training

113

- To establish a sound relation between the worker and his job
- To upgrade skills and prevents obsolescence
- To prepare employees for future assignments
- To increase productivity
- To minimize operational errors
- To enhance employee confidence and moral
- To decrease employee turn over and absenteeism.

- Training help employees do their current jobs

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Human Resource Development (HRD)

115

- This is designed to improve the overall effectiveness of managers in their present positions and to prepare them for greater responsibility when they are promoted .
- It helps managers gain experience skill and attitudes to become or remain a successful leader in their enterprise.

Objectives of Development

116

- ✚ To provide the managers and other higher officials with leadership skills
- ✚ To enhance the performance of the executives
- ✚ To help the management in ensuring better control in the organization
- ✚ To train managers for higher assignments
- ✚ To develop a unity of purpose and improve morale of the managers
- ✚ To make managers socially more conscious and ethical in their practices
- ✚ To prepare managers to adapt to changes

Importance of development

117

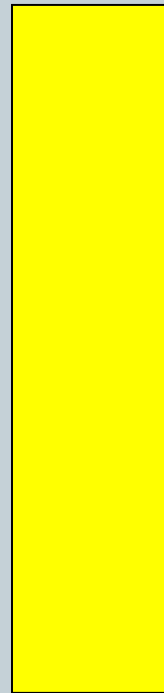
- Increase managers capability
- Enhance effectiveness
- Facilitate environmental adaptation
- Improve decision making
- Managerial succession

- *Development helps the individual handle their future responsibilities*

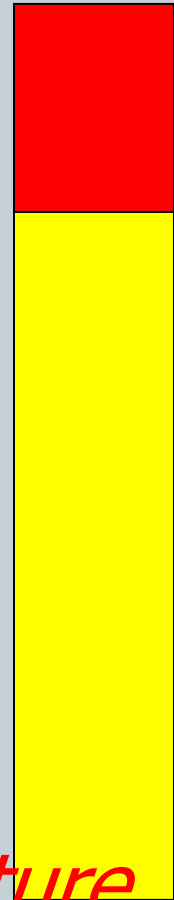
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DEVELOPMENT



*Current Job
demand*



*Future Job
demand*

- *Training Cost*

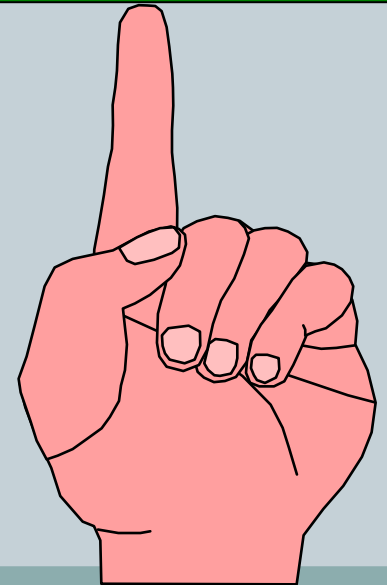
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“Expense”

OR

“Investment”



Training and development process

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Step 1: Training and development need assessment .

- Job requirement – Employee capability = training need
- During training need assessment analysis must be made at three basic levels
 - ✦ Organizational level (analysis of the organizational goals and the resources allocated to achieve these goals.)
 - ✦ Operation/Task level (the way in which a job or task is to be done in an effective way).
 - ✦ Person (Employee) level (tries to find out the qualities, knowledge, attitudes, etc., of the present workers of the organization).

Step 2: Establishing training and development objectives

Some of the objectives may be:

- ▣ To improving product quality
- ▣ Eliminating wastage of time
- ▣ Implementing safety precautions
- ▣ Assisting effective management

Training and development process

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- Step 3: Select methods, media and develop a detailed plan

There are different methods of delivering T&D programs

- Step 4: Implement the actual program
- Step 5: Conduct evaluation- assess the impact of the program, its effectiveness and the degree of its success by asking trainees for feedback

- Step 6: Conduct follow up and Monitor performances

Based on the training assessment results, management can find out if the training was adequate for the present or if they may require advanced sessions. The management can also plan future training and development programmes and their scope accordingly.

Types of training & development programs

122

- On-the-job-training
- Off-the-job-training
- Vestibule training

1. On-the-job-training

123

- Is conducted at the work site to develop the skills of workers
- The employee placed in the context of real work situation and learns by doing the job under the supervision of experienced worker or the supervisor.
- There are various methods of training used under this method. Some of them are listed below
- ***Coaching/Mentoring/apprenticeship:*** in this case the supervisor or an experienced worker gives personal and in depth guidance to an employee or subordinate.

On-the-job-training

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- ***Job rotation:*** in this method the employees are assigned to different jobs after certain period of time so as to get working knowledge in all area of the organization.
- ***Special assignments or committees:*** in this method the lower level employees are assigned to temporary committees or are given temporary assignments so that they get a chance of knowing about other activities in the organization and also give them problem solving abilities.
- ***Internships:*** Training approach where university students divide their time between attending classes and working for an organization. Excellent means of viewing potential permanent employee at work. Students are enabled to integrate theory with practice

Advantages of on-the-job training

125

- The trainee is motivated and become productive
- Its transference is high
- It helps the workers easily convert what is learned to practice.

Off the job training

126

- This kind of training takes place outside the trainees work environment.
- It includes trainings like:
- **Classroom Programs/lecture:** Continue to be effective for many types of employee training
- **Conference**
- **Seminars**

Vestibule training

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- Is a kind of training given in an artificial environment which is very closer to the real job context.
- Ex.: training a pilot in a computer simulated environment,
- ***Role playing***: the process consists of the trainee and trainer, where the trainees act as if they are dealing with a problem and are responsible for solving it without guidance.
- ***Case study***: in this method, a participant gets a real or imaginary scenario that depicts everyday work situations. They then receive basic instructions to analyze the case and come up with the best possible solution to help improve their problem-solving skills.
- ***management game***
- This method solves the short comings of both on the job and off the job training in terms of cost and practicality.

Career Development

128

- **Career:** is the series of work-related positions a person occupies throughout life.
- **Career development** is the human resource activity which helps employees to plan their future careers that contribute for the success of the organization's and their development needs.
- It is the process of finding your footing in your professional life. This process involves assessing where you are now compared to where you want to be and creating a plan to get there.
- Career development is directly linked to an individual's growth and satisfaction and hence should be managed by the individual and sometimes should not left to the employer.
- Career development helps an individual grow not only professionally but also personally. Learning new skills like leadership, time management, good governance, communication management, team management etc. also help an employee develop and shape their career.

Career Development

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- Every one aspire better life in society. This is also true for employees in an organization. Employees often ask questions like:
 - How do we advance our career?
 - What are the bases for promotion?
 - Do we have a job security?
- The answer to the above questions enables organizations to identify the actions required to further career.
- Based on staffing need, organization can facilitate the career planning process and help answer employees' questions about career progress within the organizations.

Steps of Career Development

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Steps of Career Development

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- **Self Assessment:** the individual has to assess oneself on the kind of career and growth one wants and what kind of skills and interests are there.
- **Career Awareness:** exploring various career paths which align with the self assessment done in the first step
- **Goal Setting:** defining clear short term and long term goals to meet the career one aspires.
- **Skill Training:** once the career goals are set, one needs to acquire the right skills to achieve the growth.
- **Performing:** with all the right knowledge and skills, the important part is to perform the tasks and jobs in the career successfully to grow in the career path.

Revision

132

- What is T&D ?

Training is process whereby people **acquire capabilities to perform current jobs**, where as development is designed to **improve the overall effectiveness** of managers in their present positions and to **prepare them for greater responsibility** when they are promoted .

- What are Objective of training?

- ✓ Familiarize with the job
- ✓ Improve quality
- ✓ Develop qualified personnel
- ✓ Motivation
- ✓ promotion

What are the objectives of development?

- To provide leadership skill
- Enhance performance
- Ensure better control
- Preparing for higher assignment
- To make ethical
- To adapt change
- T&D process (6 steps)
- Methods of T&D
- Career development

CHAPTER SIX

PERFORMANCE APPRAISAL

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Objective of the chapter

At the end of the chapter, students will be able to:

- ✓ Define performance appraisal
- ✓ State the importance of PA
- ✓ Know the prerequisite for PA
- ✓ Explain the methods of PA
- ✓ Explain the steps to follow in conducting PA
- ✓ Understand problems associated with PA

CHAPTER SIX

PERFORMANCE APPRAISAL

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Definition

- PA is an integrated human resource management practices that includes a formal review of employee's current and past performance relative to performance standards.
- It is the periodic review of employee performance primarily to help them achieve the results expected.
- It is a process by which the appraiser identifies and communicates the expected performance standards and then evaluates or measures the performance against the standard.
- It is a regular and structured method of assessing an employee's job performance with predetermined job expectations.

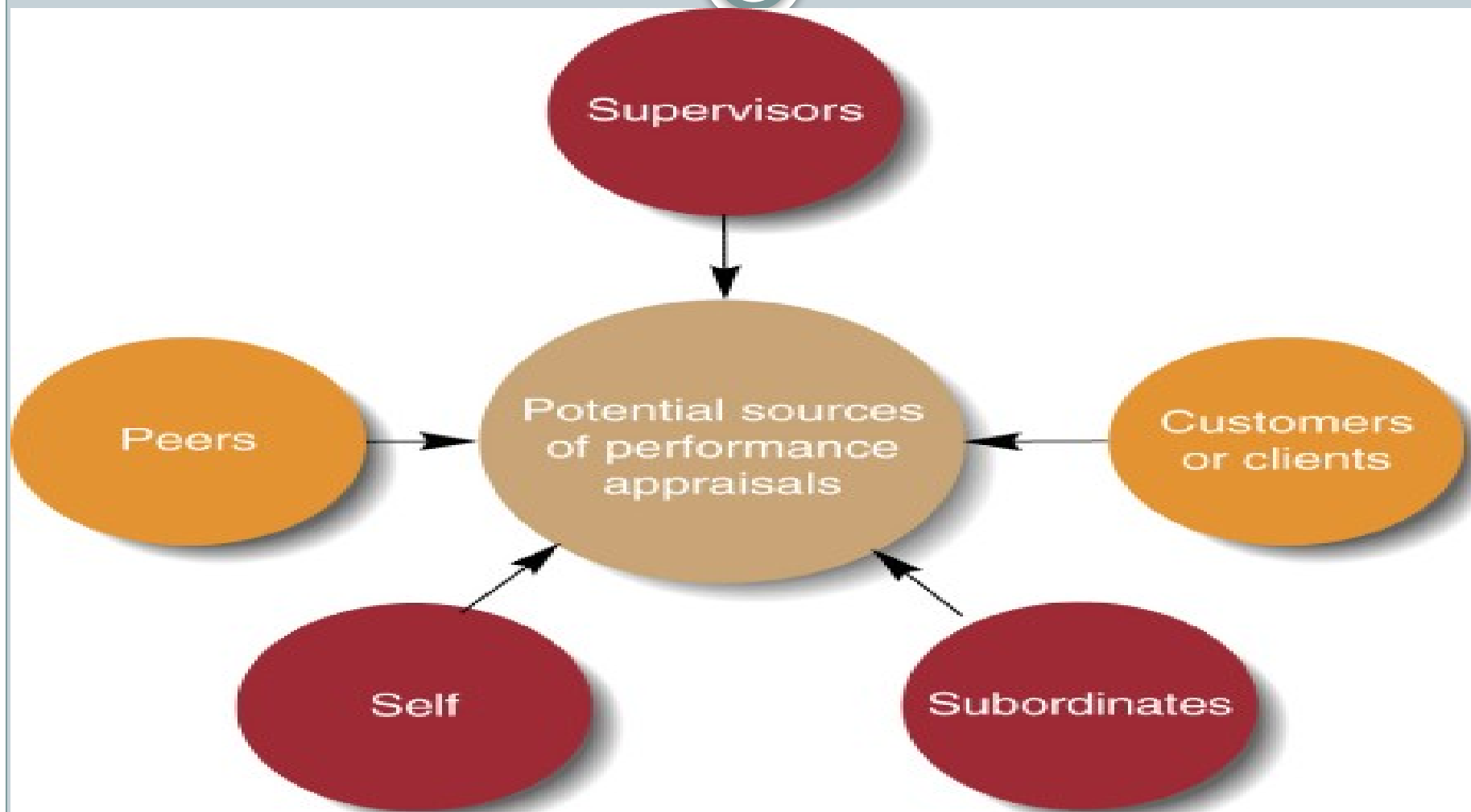
Importance of performance appraisal (PA)

135

- It helps to maintain an inventory of manpower along with their quality and worth for the organization.
- Appraisal provides information for promotion, training demotions, better incentive and salary decisions
- Provides an opportunity to review an employee's work related behavior with the goal (correcting deficiencies)
- Appraisal help to manage and improve firm's performance.
- It provides feedback on deficiencies of HR-functions

Who will conduct appraisal?

136



Prerequisite to Performance Appraisal

137

- Appraisers are required to:
 - Have an opportunity to observe appraisee at work
 - Have an ability to use different appraisal techniques
 - Have an ability to interpret what is measured in to meaningful result.
 - Have willingness and motivation to evaluate performance fairly and rationally

The Process of Performance Appraisal

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- The rational appraisal process follows the following steps:
Step 1: Set clear performance standards: They are developed at the time of developing job descriptions and job specifications. These standards should be clear, precise and objective. (SMART)
Step 2: Communicate standards to employees: standards should be communicated to all the concerned employees because unless and until the employees are aware of the standards they will not be in a position to meet them.
Step 3: Measure performance: the actual performance of the employees is noted and the information about the employees performance is collected through personal observation, statistical reports, oral reports and written reports.

The Process of Performance Appraisal

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- **Step 4: Compare actual performance with standards and Determine gaps:** An objective and impartial comparison of the actual performance with the standard performance is carried out. Short falls, if any, of the employees are identified and deviations, if any, are noted down.

This comparison is also used to identify the most promising employees who have the potential for growth and advancement.

- **Step 5: Communicate the result with employees:** The results are communicated to the concerned employees and discussions are held with them to identify their strengths and weaknesses and also to identify the difficulties in carrying out their activities.

Objective discussions and accurate information about the performance will help the employee in bettering his performance.

The Process of Performance Appraisal

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- ***Step 6: Take corrective action:*** If there are any short falls in the performance of the employees the management along with the concerned employee should identify the reasons for the short falls.

After the reasons are properly identified, the ways and means of overcoming these difficulties are devised/planed and implemented.

Methods of Performance Appraisal

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- ***Straight Ranking Method:*** is the oldest and simplest method where the employer or manager basically ranks all the employees based on their performance and various other parameters. While it is often easy to point out the top and bottom performers, those in the middle can prove harder to put in order. Since the criteria used are more of subjective, straight ranking is unreliable as a tool for evaluating specific employees.
- ***Grading Method:*** performance factors are listed such as quantity and quality of work, depth of knowledge, or initiative, cooperation. The appraiser then rates each employee based on factor on an incremental scale. (A-outstanding; B-very good; C-good/average; D-fair; E-poor)

Methods of Performance Appraisal...

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- **Man to Man comparison Method:** In this method certain **factors** which are important to perform a job effectively are selected, like for example, **leadership ability, initiative, honesty**, etc., and a **scale of an ideal employee** is designed which acts as a standard. Each employee in that particular position or carrying out same kind of activities is compared with the ideal employee scale (model man) and a score is given. The drawback of this model is that setting scale for the model employee is complicated.
- **Management By Objective (MBO):** assesses employees on **how well they accomplish a specific set of objectives** that have been determined to be critical in the successful completion of their job.
- **360-Degree Review Method:** seeks feedback for the person being rated from a variety of sources including peers, supervisors, and customers among others.

Methods of Performance Appraisal

143

- **Graphic or Linear Rating Method:** in this method a printed form is used by the appraiser in which common *employee characteristics* like, *initiative, leadership, cooperativeness, dependability, loyalty, emotional stability, attitude*, etc., and *employee contribution* in the areas of quality and quantity of work, the kind of responsibility assumed, the specific goals achieved, attendance, etc., are stated for assessment. These traits are evaluated on a continuous scale, meaning the different grades are in a continuum. As an example the different grades for the trait attitude could be; 1: No interest; 2: Indifferent; 3: Interested; 4: Enthusiastic and 5: Very enthusiastic

Methods of Performance Appraisal

144

- **Checklist:** In this type of appraisal a list of questions are prepared which try to get information about the employee and his behavior. The answer to the questions is either positive or negative (yes/no). The appraiser collects only the information, whereas the actual rating is done by somebody else, like the human resource manager.

Problems Associated with PA

145

- **Halo effect:** The appraiser assesses the individual (either high or low) basing on a single trait/characteristic while ignoring the other traits/characteristics.
- **Central tendency:** Most of the appraisers tend to avoid controversies and give average rankings to everyone.
- **Similarity effect:** When the appraiser considers the person to be appraised is either similar or dissimilar to him/her (such as similar backgrounds, interests, or personality traits) it will affect the way rating is done.
- **Strictness/leniency biases:** The value systems of different appraisers are different, some appraise leniently/tolerantly and some are too strict.
- **Primacy/Recency effect:** This occurs when the appraiser focuses on the primary or most recent work of an employee instead of reviewing the entire performance period

CHAPTER SEVEN

COMPENSATION MANAGEMENT

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- Compensation is the process of directly and indirectly rewarding employees for their performance of assigned tasks.
- Compensation management is defined as the process of determining a cost-effective pay structure that attracts and retains competent employees, provides incentives for hard work, and ensures that pay levels will be perceived as fair.
- Employee **compensation decisions** are crucial for the success of an organization since it directly **influence** key outcomes like **job satisfaction, attraction, retention, productivity, skill acquisition, cooperation**, etc. of the day today practice of the firm.

COMPENSATION MANAGEMENT

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- In organizations where employees are dissatisfied with the types of compensations:
 - their contributions toward goal achievement tends to be lower
 - pay dissatisfaction may lower performance,
 - cause strikes,
 - increase grievances, and
 - lead to forms of physical or psychological withdrawal ranging from absenteeism and labor turnover to increased visits to the dispensary and poor mental health

Compensation and other HR practices

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- ***Job Analysis:*** helps to determine the extent to which various compensable factors, such as the skill or effort, exist in a job.
- ***Performance Appraisal:*** it is important in pay decisions where pay is based upon some measure of performance, such as merit pay systems.
- ***Human Resource Planning:*** it is concerned with the applications of the management functions of planning to human resources and encompasses various techniques and systems that human resource management utilizes.
- ***Recruitment:*** An equitable compensation system, including both monetary rewards and employ benefits that is competitive in the labor market, aids in the recruitment practice of qualified employees.

Objectives of Compensation

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- Compensation establishes fair and equitable rewards to the employees so that they are motivated to do the job in a better way for the organization.
- ♦ To acquire qualified employees
- ♦ To retain current manpower
- ♦ To ensure equity
- ♦ To reward (reinforce) the desired behavior
- ♦ To control costs: to prevent both overpayment and underpayment
- ♦ To comply/conform with legal regulation imposed by the government
- ♦ To facilitate understanding or to build harmony in the organization
- ♦ To improve further administrative efficiency: to assure the optimal use of all available organizational resources

Types of Compensation

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There are two types of compensation. These are:

- Financial compensation;
- Non – financial compensation

Financial Compensation

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- ***Direct financial compensation*** which is paid to employees in the form of wage, salaries, bonuses, and commissions in exchange of their performance.
- ***Indirect financial compensation*** it is a non-monetary reward that employees receive such as health benefit, paid time off from work such as annual leave, maternity leave, sick leave, social security retirement income, and other related benefits.

Non – Financial Compensation

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Non-financial compensation includes any satisfaction, which employees receive from the job.

- It is any employee compensation that doesn't involve cash.
- Often, this form of compensation can be a great method for establishing trust and loyalty between an employer and an employee.

Types of non-financial compensation

- **Developmental opportunities:** *include paid education or certification, developmental classes with experts or informative conferences and retreats/tour which enhance knowledge and skill.*
- **Recognition:** *includes Verbal appreciation, Celebrating achievements, etc. By doing this, employers may experience an increase in employee engagement, improved efficiency and greater rates of retention.*

Types of non-financial compensation

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- **Flexible schedules:** *setting their own schedules without compromising the quality of their work, hybrid schedules, which allow an employee to work from home for part of a week or month and in an office otherwise. Companies providing a healthy work-life balance to their employees can often recruit more effectively and retain employees.*
- **Discounts or memberships:** *includes on-site gyms to employees to relieve stress and remain physically fit*
- *Daycare centers*

Determinants of Financial Compensation

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- ✚ **Organizations ability to pay:** the financial strength of the organization.
- ✚ **Supply and demand of labor:** if the supply of labor is more than the requirement then the management can pay less wages and salaries to its employees and the reverse is true in the case of labor shortage.
- ✚ **The prevailing market rate:** The current wage rate or salary in the industry influences the wage and salary policy of the organization. An organization cannot give less salary/wage than the average salary/wage of the given industry.
- ✚ **The cost-of-living.** The cost of living differs in different cities. For example, the cost of living is higher in Bahir Dar than in Debretabor and if a person is transferred, with the same position from Debretabor to Bahir Dar he should get higher salary.
- ✚ **The productivity of the Employees:** it has an impact on the kind of wages/salaries he/she gets. The more productive the worker is the better the salary or wage he/she gets and the vice is also true.

Determinants of Financial Compensation

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-  **The bargaining power of the trade unions:** powerful trade unions generally have a lot of influence on the kinds of wages and salaries given by the organization. (Trade union/Labor union is an organization of workers whose purpose is to maintain or improve the conditions of their employment, such as attaining better wages and benefits, improving working conditions, improving safety standards, etc.)
-  **The nature of the job (the job requirement):** some jobs are more hazardous and dangerous than others and the employees undertaking them would get more pay than others who are in relatively safer positions.
-  **Managerial attitude:** The top management has a lot of influence on the wage and salary administration because they can choose whether to pay the industry average wage/salary and above or below the average salary; the kind of working conditions to be provided to the employees; the length of service, etc.

Employee Incentives and Benefits

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- *An incentive is something which attracts the workers attention and stimulates them to work and be more productive.*
- *Incentives motivate workers to produce more and also can influence the quality of the output.*

Some features of incentives are:

- ❖ *incentives have both monetary and non-monetary elements*
- ❖ *the incentives should be given on time*
- ❖ *incentives should be accurately calculated*
- ❖ *frequency of giving incentives should be regular*

Types of Incentives/Rewards

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- ***Intrinsic rewards***: the rewards which a worker receives for himself and are totally dependent on the kind of work done by him.
E.g. participation in decision making, job freedom, more responsibility, more interesting work assignments, opportunity for personal growth, etc.
- ***Extrinsic rewards***: intended for all the employees of the organization
They can be delivered under the following ways:
 - ▢ ***Direct compensation***; are given to all employees in the form of money. It includes salaries or wages, overtime earnings, holiday premiums, performance bonus, profit sharing, stock options, etc
 - ▢ ***Indirect compensation***: are realized at a later period of time, once in a year or at the time of retirement. It includes, group insurance schemes, contribution for provident fund, services, pay for time not worked, etc.
 - ▢ ***Non-financial compensation***: Benefits like, office furniture and furnishings, business cards, flexible lunch hours, own secretary, preferred work assignments

Types of incentive plans

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Incentive plans are used by companies to keep employees motivated. These plans rely on the power of incentives to affect employee behavior.

Incentive plans for blue-collar workers: Blue collar workers are those employees who are in the operational level of the organization.

Short term plans: These plans are generally targeted at individuals and are performance based.

Long term plans: These plans are group based and are less controversial than the earlier plans. For example, standard output scheme where, the group is given a target and when it is achieved, then the whole group is rewarded; profit sharing scheme, wherein all the employees become eligible for a share in the profits generated by the organization.

Types of incentive plans

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Incentive plans for white collar workers: White collar workers are basically in the lower level of the management hierarchy. We can look at the incentive schemes of salesmen as an illustration,

- ☐ Straight salary method
- ☐ Straight commission method
- ☐ Combination method

Incentives for Management Employees: Generally managers are given straight salaries as well as bonuses. These bonuses are generally a percentage of their yearly salary of the managers. These bonuses can also be fixed according to the discretion of the top management or owners of the organization.

Guidelines for Effective Incentive Plans

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- The efforts and rewards should be directly related.
- The reward should be of value to an employee and the reward should be clearly identifiable.
- The incentive plans made by the management should be understandable to the workers.
- The standards which are set should be effective, they should neither be too high nor too low, they should be specific and complete.
- The rewards should be consistent with the government policies.
- The rewards should be granted immediately.
- The incentive schemes should not create any friction between employees.
- Employee participation in the generation of these incentive schemes will make them more successful.

Employee Benefits (Indirect Compensation)

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Benefits are given to all employees immaterial of their output or productivity, whereas the incentives are generally given to outstanding employees or above average performers.

The main purpose of benefits is to maintain or retain an employees and not to encourage them to work harder.

Features:

- ❏ Benefits are not directly related to work,
- ❏ they boost the earnings of the workers and gives them extra money to spend,
- ❏ The bases for benefits might be the length of service, sex(maternity benefit), sickness, etc.
- ❏ Benefits are basically enjoyed by all employees,

Types of Benefits

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1. **Insurance benefit:** some organizations can purchase life, health and work related accident insurance.
2. **Security benefit:** these are non-insurance benefits that provide income protection to employees before and after retirement. Provision of such benefit is based on earning and years of services in the organization. The benefits are effective during separation, retirement, death, and disability. In the Ethiopian context a permanent civil servant got a retirement benefit at the age of 60.
3. **Time - off benefit:** includes sick leave, casual leave, vacation pay, study leave, holidays, maternity leave and other related absence.

Types of Benefits

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Federal Civil Proclamation (No.262/2002) of Ethiopia, sick leave for any permanent civil servant shall be:

- With full pay for the first three months;
- With half pay for the next three months;
- Without pay for the last two months.

4. **Employee service:** these services include educational or training assistance, subsidized food service, financial and social services and the like. For instance, any permanent civil servant in Ethiopia may be trained to improve his/her capability and achieve better performance or to prepare him/her for higher responsibility based on career development (Federal Civil Service Proclamation No. 262/2002).

Steps of Compensation Management

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- Step 1: Evaluation by using job analysis information to ensure internal equity
- Step 2: Conduct wages and salaries surveys to determine external equity
- Step 3: Price job to determine the rate of pay (matching external and internal equity)
- Step 4: Implementation and follow-up

Quiz

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1. List at least three importance of Performance Appraisal (1.5 pts.)
2. Mr. kebede is appraiser of Company XYZ. While appraising the employees, he got his old friend Mr. Yosef, who attended his undergraduate program in the same university. Mr. kebede considered their previous friend hood time and gave high score to Mr. Yosef. This problem of PA is termed as _____ (2 pts.)
3. What are the prerequisites for performance appraisal? (1.5 pts.)

CHAPTER EIGHT

INTEGRATION AND MAINTAINANCE

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Respecting Employee Rights and Managing Discipline

Employee Rights

*A **right** is the ability to engage in conduct that is protected by law or social sanction, free from interference by another party (such as an employer).*

There are three different categories of employee rights

1. Statutory/Legal Rights
2. Contractual rights
3. Other rights

1. Statutory Rights

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- Employees' statutory rights are protected by specific laws enacted by government.
- Employees' key statutory right is protection from discrimination based on race, sex, religion, national origin, age, handicap, or other protected status under the law and other equal employment opportunity laws.

Statutory Rights	Contractual Rights	Other Rights
• Protection from discrimination • Safe working conditions • Right to form unions	• Employment contract • Union contract • Implied contracts/ employment policies	• Ethical treatment • Privacy (limited) • Free speech (limited)

2. Contractual Rights

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- A contract is a legally binding promise between two or more competent parties
- Both employers and employees have rights and obligations to each other when they enter into a contract.
- In general, such contracts state that the employee is expected to work competently over a stipulated period of time and that the employer is expected to provide a mutually agreed upon amount of pay, as well as specific working conditions, over this time period

3. Other Rights

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- Employees often expect certain other rights in addition to statutory and contract rights. Some of these rights are:
- ***Right to Ethical Treatment/Psychological contract:*** to be treated fairly and ethically
- ***Limited Right to Privacy:*** protects people from unreasonable or unwarranted interferences into their personal affairs. Access to the personnel file should be denied to all people except managers who have a job-related “need to know” certain information.
- ***Limited Right to Free Speech:*** all citizens have the right to free speech. Government employees are more fully protected than those who work for private employers

Management Rights

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- Management rights include the right to manage the workforce and the rights to hire, promote, assign, discipline, and discharge employees with fairness.
- Management rights are influenced by the rights of groups who have an interest in decisions made in the workplace. (EEO, Contract's terms in pay rates, Minimum wage rate laws)
- Management rights are often termed **residual rights** because they pertain to the remaining rights that are not affected by contracts or laws that represent the interests of employees or other parties (such as a union).
- According to the residual rights perspective, managers have the right to make decisions that affect the business and the workforce except where limited by laws or contract provisions.

Disciplining Employees

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- Some employees are habitually late to work, ignore safety procedures, neglect the details required for their job, act rude to customers, or engage in unprofessional conduct with coworkers.
- Employee discipline requires communicating the unacceptability of such behavior along with a warning that specific actions will follow if the employee does not change the behavior.
- Therefore it is a tool that managers rely on to communicate to employees that they need to change a behavior.
- There are two different approaches to employee discipline which are widely used:
 - (1) progressive discipline and
 - (2) positive discipline.

Progressive Discipline

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- It is the **most commonly** used form of discipline, which **consists of a series of management interventions** that gives employees opportunities to correct their behavior before being discharged.
- Progressive discipline procedures are **warning steps**, each of which involves a punishment that **increases in severity** the longer the undesirable behaviors persist.
- If the employee fails to respond to these progressive warnings, the employer is justified in discharging the individual.
- Progressive discipline systems usually have three to five steps, based on violations (minor or series) of the company's policies.

Categories of Employee Misconduct

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Minor Violations

- Absenteeism
- Dress code violation
- Smoking rule violation
- Incompetence/ineffectiveness
- Safety rule violation
- Sleeping on the job
- Horseplay
- Tardiness

Serious Violations

- Drug use at work
- Theft
- Dishonesty
- Physical attack upon a supervisor
- Sabotage of company operations

A four-step progressive discipline procedure includes the following steps

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1. Verbal warning
2. Written warning
3. Suspension: Suspended from employment without pay for a specific amount of time.
4. Discharge: If employee violates the rule one more time after suspension, within the specified time period, then he will be discharged

Positive Discipline

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- ***Positive discipline*** replaces the punishment used in progressive discipline with **counseling** sessions between employee and supervisor.
- These sessions focus on getting the **employee to learn from past mistakes** and initiate a plan to make a positive change in behavior.
- In short, positive discipline **modifies** the supervisor's role from **adversary to counselor**.
- **A four-step positive discipline** procedure starts with **a first counseling session** between employee and supervisor that ends with a **verbal solution** that is acceptable to both parties.

Positive Discipline

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- If this solution does not work, the supervisor and employee meet again to discuss why it failed and to develop a new plan and timetable to solve the problem. At this second step, the **new agreed-upon solution to the problem is written down.**
- If there is still no improvement in performance, the third step is a **final warning that the employee is at risk of being discharged.** (no suspension)
- Failure to improve performance after the final warning results in discharge
- Incidents of gross misconduct (such as theft) are treated no differently under a positive discipline procedure than under a progressive discipline procedure.

Administering and Managing Discipline

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- Managers must ensure that employees who are disciplined receive **due process** (fair and consistent treatment).
- Supervisors should be properly trained in how to administer discipline in order to be fair and consistent and to respond employee challenges on a disciplinary action
- There are two important elements of due process that managers need to consider:
 - A. Basic standards of discipline
 - B. The Right to Appeal Discipline

A. Basic standards of discipline

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Some basic standards of discipline should apply to all rule violations, whether major or minor. All disciplinary actions should include the following procedures at a minimum:

- ✓ ***Communication of rules and performance criteria:*** Employees should be aware of the company's rules and standards and the consequences of violating them.
- ✓ ***Documentation of the facts:*** Managers should gather a convincing amount of evidence to justify the discipline
- ✓ ***Consistent response to rule violations:*** It is important for employees to believe that discipline is administered consistently, predictably, and without discrimination or favoritism.

B. The Right to Appeal Discipline

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- ❖ Sometimes employees believe they have been disciplined unfairly, either because their supervisors have abused their power or because their supervisors are biased in dealing with individuals whom they like or dislike.
- ❖ For a disciplinary system to be effective, employees must have access to an appeals procedure in which others (who are perceived to be free from bias) can examine the facts.
- ❖ For challenging disciplinary actions, two of the most useful appeals procedures are the open-door policy and the use of employee relations representatives. These two methods are attractive because of their flexibility and their ability to reach quick resolutions.

Managing Difficult Employees

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- ❖ Managing the discipline of difficult employees requires good judgment and common sense.
- ❖ Here below are some common problems committed by difficult employees that managers are likely to encounter.
 1. **Poor Attendance:** it includes absenteeism and/or tardiness. If it is not managed properly, can decline employee productivity and suffer group morale of those with good attendance.
 2. **Poor Performance:** performance appraisal can be used to turn around poor performers by helping them develop an action plan for improvement. However, if the poor performance is so serious then it requires immediate intervention.
 3. **Insubordination:** an employee's refusal to obey a direct order from a supervisor or verbally abusive to a supervisor.

Managing Difficult Employees

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4. **Workplace Bullying:** is verbal, physical, social or psychological abuse by your employer (or manager), employee, or group of people at work.

It is a form of harassment that results in employees experiencing mental distress, physical illness, loss of productivity, and a higher tendency to quit to avoid being in a toxic workplace.

Workplace bullying consists of offensive, abusive, intimidating, malicious or insulting behavior, abuses of power or unfair penal sanctions, which makes the recipient feel upset, threatened, humiliated, or vulnerable, which undermines their self-confidence and which may cause them to suffer stress.

Managing Difficult Employees

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5. ***Alcohol-Related Misconduct*** : Employee who is an alcoholic Vs. who uses alcohol or is intoxicated on the job.

6. ***Illegal Drug Use and Abuse*** : refers to any use of prohibited substances such as marijuana, heroin, and cocaine as well as the illegal use of prescription drugs such as Valium. Drug use and abuse by employees also presents a serious challenge to managers

Preventing the Need for Discipline with Human Resource Management

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By taking a strategic and proactive approach to the design of HRM systems, managers can eliminate the need for a substantial amount of employee discipline. Some of the functional areas of HR which can be designed to prevent problem are:

- i. **Human Resource Planning:** *Jobs, job families, and organizational units can be designed to motivate and challenge employees.*
- ii. **Recruitment and Selection:** *By spending more time and resources on recruiting and selection, managers can make better matches between individuals and the organization.*
- iii. **Training and Development:** *Investing in employees' training and development now saves a company from having to deal with incompetents or workers whose skills are obsolete down the road.*

Preventing the Need for Discipline with Human Resource Management

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- iv. **Performance Appraisal:** *An effective performance appraisal system lets people know what is expected of them, how well they are meeting those expectations, and what they can do to improve on their weaknesses.*
- v. **Compensation:** *Employees who believe that rewards are allocated unfairly (perhaps on the basis of favoritism) are likely to lose respect for the organization.*

Why do Employees Join Unions?

- *A union is an organization that represents employees' interests to management on issues such as wages, work hours, and working conditions.*
- *Employees join unions for different reasons. Some of the main reasons are:*
 - 1. Higher Wages and Benefits:** *Hundreds of workers going out on strike can temporarily disrupt or even close down a company. Additionally, professional bargainers employed by the union may negotiate more skillfully than any individual could on his or her own behalf.*
 - 2. Greater Job Security :** *Unions provide their members with a sense of independence from management's power to arbitrarily hire, promote, or fire*

Labor Relation

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3. Influence over Work Rules: *A union not only represents the worker but also provides rules that define channels in which worker complaints and concerns can be registered.*

4. Compulsory Membership: *Sometimes being the member of the union may become compulsory.*

5. Dissatisfaction with Management: *If employees are upset with the way their supervisor handles problems, upset over how a co-worker has been disciplined, and so on, they are likely to seek help from a union.*

6. Labor Legislation: *The legal framework for labor–management relationships has played a crucial role in its development.*

The Role of the Manager in Labor Relations & Labor Relations Strategy (Reading assignment)

Managing the Labor Relations Process

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Labor relations process has three phases:

1. Union Organizing
2. Collective bargaining
3. Contract administration

Phase 1. Union Organization: *It is a phase in which employees exercise their right to form a union. It takes place when employees work with a union to form themselves into a cohesive group*

The key issues that managers confront in a union organizing campaign are union solicitation, pre-election conduct, and the certification election.

Union solicitation: *is the process where by employees show their interest to form labor unions according to the proclamation and signing on the authorization cards.*

Managing the Labor Relations Process

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Pre-election Conduct: *If the union can show sufficient employee interest in forming a union, the Ministry of Labor and Social Affairs will schedule a certification election.*

- During the period before the election, management and union leaders should allow employees to freely exercise their right to vote for or against representation.*
- At this time, managers are prohibited from threatening employees with the loss of their jobs or benefits if they vote for the union.*
- They must also avoid promising employees benefits (such as pay raises or promotions) if they vote against the union. On their side, unions must avoid threatening workers with harm if they do not vote for unionization.*

Managing the Labor Relations Process

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Certification Election: *The Ministry supervises the certification election, determining who is eligible to vote and counting the ballots. The voting is done by secret ballot, and the outcome is determined by the participating voters. If the union receives a majority of the votes, it becomes the certified bargaining agent for all of the unit's employees.*

Phase 2. Collective Bargaining: *If union organizing results in certification, the next step in the labor relations process is collective bargaining that results in a labor contract.*

- ▣ *Collective bargaining means a negotiation made between employers and the union concerning conditions of work or collective agreement or the renewal and modifications of the collective agreement.*

Managing the Labor Relations Process

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Four of the most important issues related to collective bargaining are:

- i. **Bargaining Behavior:** After the union is certified, both management and the union have a duty to bargain with each other in “good faith. Refusing to bargain in good faith can result courts test. Good-faith bargaining means treating the other party reasonably even when lead disagreements arise.*
- ii. **Bargaining Power:** is one party’s ability to get the other party to agree to its terms. An important aspect of a party’s bargaining power is how it is perceived by the other party. Two bargaining tactics which are often used to increase bargaining power: **distributive bargaining**(focuses on convincing your counterpart in negotiations that the cost of disagreeing with your terms would be very high) and **integrative bargaining**(focuses on convincing your counterpart in negotiations that the benefits of agreeing with your terms would be very high).*

Managing the Labor Relations Process

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*iii. **Bargaining Topics:** classified into three categories: mandatory, permissive, and illegal. Mandatory bargaining topics are wages, hours, and employment conditions. These are the topics that both union and management consider fundamental to the organization's labor relations.*

Wages	Hours	Employment Conditions
• Base pay rates • Overtime pay rates • Retirement benefits • Health benefits • Travel pay • Pay incentives	• Overtime • Holidays • Vacation • Shifts • Flextime • Parental leave	• Layoffs • Promotions • Seniority provisions • Safety rules • Work rules • Grievance procedures • Union shop • Job descriptions

Managing the Labor Relations Process

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Permissive bargaining topics: *are topics that will be discussed if both parties agree to do so, but neither party is obligated to bargain on these topics.*

Some permissive bargaining topics are provisions for union members to serve on the company's board of directors , benefits for retired union members, allowing management to use the union label to put on its product, settlement of unfair labor practices, and including supervisors in the labor contract.

Illegal bargaining topics *may not be discussed in collective bargaining. Examples of illegal topics are closed shop agreements (hiring only members of the union), featherbedding (hiring more workers than are needed to perform a given job), and discriminatory employment practices.*

Managing the Labor Relations Process

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*iv. **Impasses in Bargaining:** If the parties cannot agree on one or more mandatory issues, they have reached an impasse in bargaining.*

When negotiations reach a point that both parties are unwilling to negotiate any further, they are said to have reached an impasse.

A party that insists/claims on bargaining over a mandatory topic to the point of impasse engages in an unfair labor practice.

If the impasse continues because the parties have taken rigid positions, a strike may result, which can force a company to shut down operations and lose customers.

Managing the Labor Relations Process

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The different types of strike placed when an agreement is not reached during collective bargaining are:

Economic strike: *occurs when the two parties fail to reach a satisfactory agreement before the contract expires and union leadership will typically instruct its members not to work, to leave their jobs.*

Wildcat strike: *occur when workers are angered by a disciplinary action taken by management against one of their colleagues, which usually not supported by union leadership.*

Lockout: *occurs when the organization denies unionized workers access to their jobs during an impasse.*

Managing the Labor Relations Process

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Impasse-Resolution Techniques

- i. **Conciliation and mediation:** *are techniques whereby a neutral third party attempts to help labor and management resolve their differences. The role of conciliator is to keep negotiations going, where as the mediator's role is make settlement recommendations (not binding).*
- ii. **Fact-finding:** *is a technique whereby a neutral third party conducts a hearing to gather evidence from both labor and management, then renders a decision as to how he or she views an appropriate settlement (not binding).*
- iii. **Interest Arbitration:** *in this technique panel of three individuals—one neutral and one each from the union and management—hears testimony from both sides. After the hearing, the panel renders a decision on how to settle the current contract negotiation dispute. If all three members of the panel are agreed in their decision, it is binding on both parties.*

Managing the Labor Relations Process

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Phase 3. Contract Administration: *involves application and enforcement of the labor contract in the workplace.*

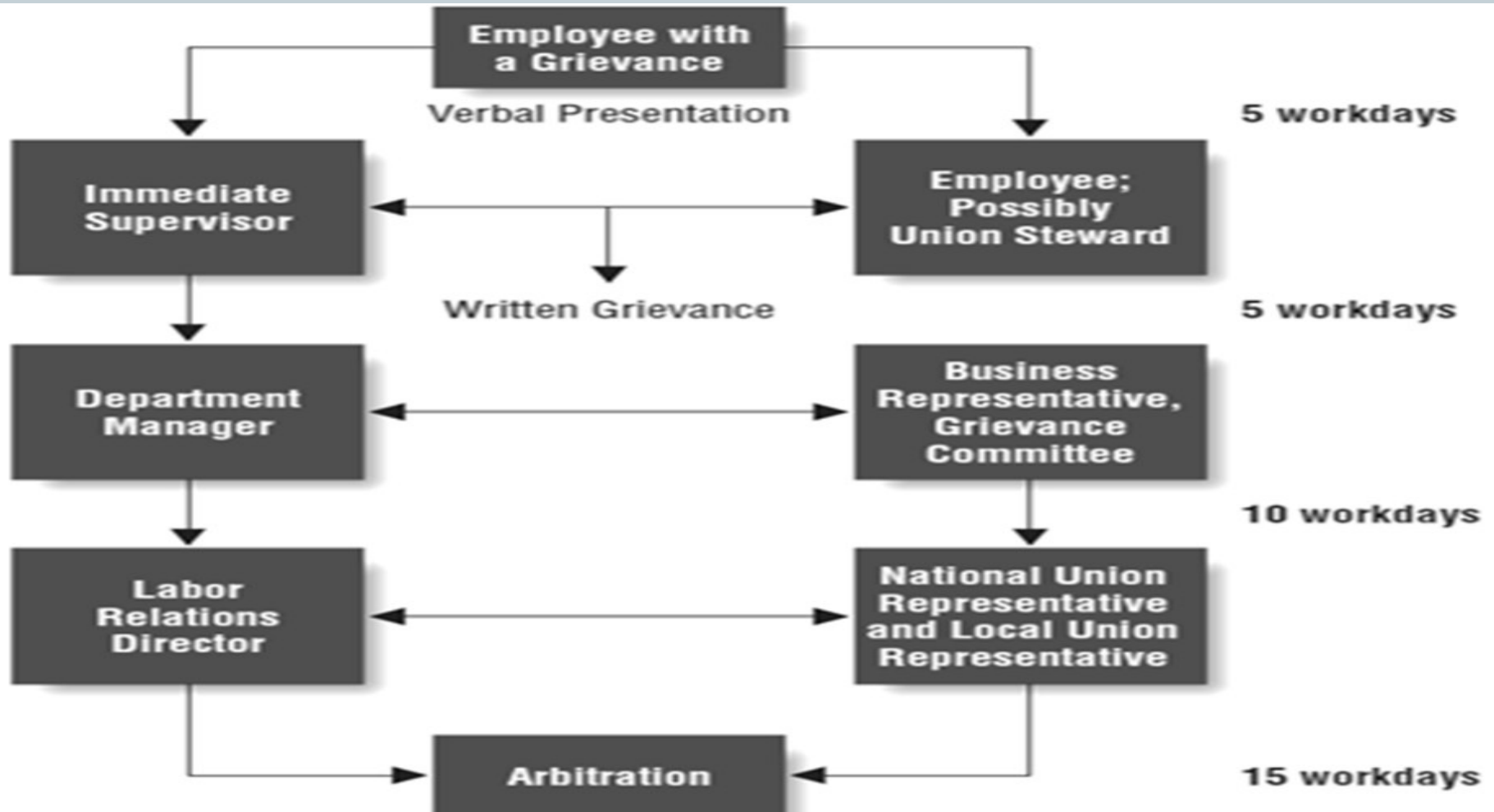
In this phase steps taken to resolve different disputes are spelled out in the labor contract, such as grievance procedure.

A grievance procedure is a systematic, step-by-step procedure designed to settle disputes regarding the interpretation of the labor contract.

Managing the Labor Relations Process

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Steps in the Grievance Procedure



Managing the Labor Relations Process

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Benefits of Union Grievance Procedures

- protects union employees from arbitrary management decisions; it is the mechanism for organizational justice.
- helps management quickly and efficiently settle conflicts that could otherwise end up in the courts or result in work stoppages.
- Management can use the grievance procedure as an upward communications channel to monitor and correct the sources of employee dissatisfaction with jobs or company policies.

CHAPTER NINE

PROMOTIONS, TRANSFERS AND SEPARATION

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Promotions: *refers to upward movement of an employee from current job to another that is higher in pay, responsibility and/or organizational level.*

It brings enhanced status, better pay, increased responsibilities and better working conditions to the promotee.

*There can, of course, be ‘**dry promotion**’ where a person is moved to a higher level job without increase in pay.*

Promotion has in-built motivational value, as it elevates the status and power of an employee within an organization.

Purposes and Advantages of Promotion

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- It has powerful motivational value
- It forces an employee to use his knowledge, skills and abilities fully and become eligible for vertical growth
- It inspires employees to compete and get ahead of others
- It paves the way for employee self-development
- It encourages them to remain loyal and committed to their jobs and the organization
- The organization would also benefit greatly because people are ready to assume challenging roles by improving their skills constantly.

Bases of Promotion

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- 1. Merit-based promotions:** *occur when an employee is promoted because of superior performance in the current job.*

Merit here denotes an individual's knowledge, skills, abilities and efficiency as measured from his educational qualifications, experience, training and past employment record.

Advantages

- ☐ motivates employees to work hard, improve their knowledge, acquire new skills and contribute to organizational efficiency*
- ☐ helps the employer to focus attention on talented people, recognize and reward their meritorious contributions in an appropriate way.*
- ☐ inspires other employees to improve their standards of performance*

Merit-based promotions

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Disadvantages

- It is not easy to measure merit. Personal prejudices, biases and union pressures may come in the way of promoting the best performer
- When young employees get ahead of other senior employees in an organization, frustration and discontentment may spread among the ranks.
- Good performance in one job (as a Foreman, for example) is no guarantee of good performance in another (as a supervisor).

2. Seniority-based promotions

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- Seniority refers to the relative length of service in the same organization.
- Promoting an employee who has the longest length of service is often widely welcomed by unions because it is fairly objective.
- It is easy to measure the length of service and judge the seniority.
- There is no scope for favoritism, discrimination and subjective judgment.
- Everyone is sure of getting the same, one day

BUT

- It demotivates the young and more competent employees and results in greater employee turnover.
- It kills the zeal and interest to develop, as everybody will be promoted without showing any all-round growth or promise.
- Judging the seniority, though it seems to be easy in a theoretical sense, is highly difficult .

Transfers

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Transfer: is a change in job assignment in which an employee moves from one job to another in the *same level of hierarchy, requiring similar skills, involving approximately same level of responsibility, same status and same level of pay.*

Purposes of Transfer

- ☐ *To meet the organizational requirements*
- ☐ *To satisfy the employee needs*
- ☐ *To utilize employees better*
- ☐ *To make the employee more versatile/multipurpose*
- ☐ *To adjust the workforce*
- ☐ *To provide relief*
- ☐ *To reduce conflicts* *To punish employees*

Types of Transfers

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Type of Transfer	Description
Production transfers	Transfers caused due to changes in production.
Replacement transfers	Transfers caused due to replacement of an employee working on the same job for a long time.
Rotation transfers	Transfers initiated to increase the versatility of employees.
Shift transfers	Transfers of an employee from one shift to another.
Remedial transfers	Transfers initiated to correct the wrong placements.
Penal transfer	Transfers initiated as a punishment for in disciplinary action of employees.

Benefits and Problems of Transfers

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Benefits

- Improve employee skills
- Reduce monotony, boredom
- Remedy faulty placement decisions
- Prepare the employee for challenging assignments in future
- Stabilize changing work requirements in different departments/locations
- Improve employee satisfaction and morale
- Improve employer-employee relations

Problems

- Inconvenient to employees who do not want to move
- Employees may or may not fit in the new location/department
- Shifting of experienced hands may affect productivity
- Discriminatory transfers may affect employee morale.

Separations

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Employee separation describes any event that separates the employer and the employee.

An employee separation occurs when an employee ceases to be a member of an organization.

The Costs of Employee Separations

Recruitment Costs	Selection Costs	Training Costs	Separation Costs
• Advertising • Campus visits • Recruiter time • Search firm fees	• Interviewing • Testing • Reference checks • Relocation	• Orientation • Direct training costs • Trainer's time • Lost productivity during training	• Separation pay • Benefits • Unemployment insurance cost • Exit interview • Outplacement • Vacant position

The Benefits of Employee Separations

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- *Reduced Labor Costs*
- *Replacement of Poor Performers*
- *Increased Innovation*
- *The Opportunity for Greater Diversity*

Types of Employee Separations

- i. Voluntary Separations** (*Quite, Retirements*),
- ii. Involuntary Separations:** *occurs when management decides to terminate its relationship with an employee due to economic necessity or a poor fit between the employee and the organization. There are two types of involuntary separations:*
 - a). Discharges:** *is a result of either poor performance or the employee's failure to change some unacceptable behavior that management has tried repeatedly to correct.*

Types of Employee Separations

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b). Layoffs: *is temporary or permanent termination of a worker's employment for reasons unrelated to the individual's performance on the job.*

Many companies have been facing tough economic challenges, and layoffs will have been part of their cost-cutting efforts.

Layoffs can affect the morale of the organization's remaining employees, who may fear losing their jobs in the future.